

Pay to Play: Political Connections and the Private Equity Investments of Public Pension Funds*

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Abstract

I examine how political connections affect the private equity investments of public pension funds, using a regression discontinuity design based on close elections for state offices conferring pension board seats. I find that firms donating to winning candidates are roughly ten times more likely than firms donating to losing candidates to receive a commitment. The resulting commitments underperform other funds of donating general partners by 4.2 to 7.1 percentage points annually, charge higher fees, and tilt toward the connected politician's home state. These effects disappear following the SEC's 2011 pay-to-play rule, consistent with favoritism rather than benign explanations.

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1. Introduction

Why do the largest investors in private equity (PE) continue to commit capital to fund managers who persistently underperform? Poorly performing managers keep raising new funds (Braun, Jenkinson, and Stoff (2017)), and U.S. public pension funds, which supply more capital to PE than any other investor group, are central to this open question. Prior work documents that pension funds whose boards include more state officials select PE funds that deliver lower returns (Andonov, Hochberg, and Rauh (2018); Korteweg, Panageas, and Systla (2024)). This board-composition evidence establishes the aggregate pattern, but as these studies themselves note, it is consistent with two distinct interpretations.

Under the benign interpretation, the pattern reflects politicians' limited investment experience, their greater familiarity with the finance firms that contribute to their campaigns, or a preference for local economic development. Under the quid pro quo interpretation, politicians direct public capital to the specific firms that contribute to their election campaigns in exchange for that support. The two interpretations carry different welfare and policy implications, but board-composition evidence cannot distinguish between them: Andonov, Hochberg, and Rauh (2018) note that their contribution measure captures only one of the possible channels, and Korteweg, Panageas, and Systla (2024) explicitly leave the underlying mechanisms unexplored. Despite the theoretical prediction that politicians distort decisions for personal gain (e.g., Shleifer and Vishny (1994); Frye and Shleifer (1996)), direct evidence on this mechanism in the management of public assets, where politicians serve as fiduciaries, has remained limited. The aggregate rise of PE in public pension portfolios is itself politically neutral, with Democratic- and Republican-led states increasing allocations alike (Anzia and Spindel (2024)), so if political influence distorts these investments, it operates below the level of aggregate allocation policy.

A motivating example is the NY State Common Retirement Fund's (NY Retirement) investment in Markstone Capital Group LLC, a PE firm co-founded by Elliott

Broidy. Broidy contributed to Alan Hevesi's 2002 campaign for NY State Comptroller, which Hevesi narrowly won by a margin of 3.9%, and additionally provided Hevesi and his staff with at least \$900,000 in bribes in the form of luxury trips. During Hevesi's term from 2003 to 2006, NY Retirement, with Hevesi as the sole trustee in his role as the State Comptroller, invested \$250 million in the 'Markstone Capital Partners' PE fund, whose net-of-fees internal rate of return was -86% , contrasting sharply with the 7.92% average performance of other PE funds invested by NY Retirement during his term. Hevesi faced accusations of "pay-to-play" practices in 2007 by the NY Attorney General, confessed to steering NY Retirement's investments to friends and political associates, and was sentenced to one to four years in prison.¹

Anecdotes such as this are suggestive but not systematic. In this paper, I distinguish between these two interpretations by examining individual PE firm and politician pairs: a PE firm contributes to a candidate, the candidate narrowly wins an office that carries a pension board seat, and the pension fund then commits capital to that firm's funds. To obtain quasi-random variation in these connections, I compare PE firms (referred to as general partners or GPs) whose supported candidate narrowly won a state executive office with GPs whose candidate narrowly lost. The estimated difference between GPs connected to a winning politician who becomes a board member of the pension fund and one who does not ranges from roughly 5 to 10 percentage points (pp) in the likelihood of receiving a commitment.² Against an average investment probability of between 0.5% and 0.8% in my sample, this is roughly a tenfold increase in commitment probability.

The PE funds selected through these connections subsequently underperform comparable funds of donating GPs by 4.2 pp to 7.1 pp in net internal rate of return (IRR), a shortfall larger than the entire average annual outperformance of U.S. buyout

¹See the New York Attorney General's announcement of Hevesi's felony guilty plea in the pay-to-play investigation (October 7, 2010) and his sentencing (April 15, 2011). Elliott Broidy pleaded guilty in December 2009 to a felony charge of rewarding official misconduct in connection with the Markstone investment.

²This range corresponds to the ex officio board office estimates of 4.7 pp to 10.4 pp in Panel B of Table 3; the baseline wedge in Panel A ranges from 3 pp to 7.9 pp.

funds over the S&P 500 (Harris, Jenkinson, and Kaplan (2014)). These connection-based commitments arise from election cycles between 2002 and 2010, before the federal pay-to-play rule took effect, so the performance, fee, and home-state evidence characterizes the unregulated regime. After SEC Rule 206(4)-5 severed covered contributions from advisory mandates in 2011, the selection effect of 5.3 pp for earlier elections falls to a negligible -0.3 pp, a reversal that familiarity, skill, or local development motives should not produce. The evidence is difficult to reconcile with the benign interpretation and points to connection-based favoritism consistent with a quid pro quo, although the design cannot rule out closely related forms of favoritism that operate through the same donor relationships without an explicit exchange.

The magnitude of this effect may appear puzzling relative to the size of the donations, because a large literature questions whether campaign contributions purchase government favors: contributions are small relative to the policies at stake, most studies find no effect on legislators' votes, and giving behaves more like consumption than investment (Ansolabehere, De Figueiredo, and Snyder Jr (2003); Milyo, Primo, and Groseclose (2000)). Using the same close-election design, Fowler, Garro, and Spenkuch (2020) find no effect of a supported candidate's victory on the donating firm's value. My results are consistent with this evidence for two reasons. First, those studies examine diffuse outcomes that no individual politician can deliver, whereas a pension commitment is a concentrated, discretionary, and low-visibility allocation made by a board on which the connected politician personally serves, a setting in which Fowler, Garro, and Spenkuch (2020) acknowledge that returns to contributions may arise. Second, the donation is not the price of the favor but a costly, publicly observable proxy for a connection through which other resources may flow unobserved: revealing donor status alone substantially increases access to senior officials (Kalla and Broockman (2016)), and donations in close elections mark valuable firm-politician relationships (Akey (2015)). Consistent with this interpretation, the average GP donation places the GP in the top five percent of individual donors in the corresponding

race,³ donations of this size are salient in the down-ballot races that constitute most of my sample, and only about five percent of donating GPs hedge by contributing to both candidates, as a relationship, unlike a bet on the outcome, cannot be hedged.

Studying this question requires observing politicians' investment decisions directly, which few settings permit. Two features of the U.S. public pension setting make it possible. First, the board of administration controls the fund's investments, and elected state officials hold or appoint board seats under statutes that predate PE as an asset class, with almost no changes over time (e.g., Hess (2005); Andonov, Hochberg, and Rauh (2018); DiSalvo (2018); Clayton (2020)).⁴ Second, public pension funds have become the largest investor group in PE,⁵ and PE funds are opaque: closed-end structures reveal little at fundraising and take years to show performance, which creates room for decisions that favor connected firms.⁶ Because I observe the date of each commitment and the composition of each board, I can attribute each investment decision to the specific board members serving at the time.

The analysis faces two empirical challenges: measuring connections, and addressing the endogeneity of political contributions and pension funds' investment decisions. I measure connectedness by using campaign donations made by GPs to election candidates running for state executive offices; previous papers document that such contributions proxy for favorable connections between firms and politicians (e.g., Claessens, Feijen, and Laeven (2008); Knight (2006); Cooper, Gulen, and Ovtchinnikov (2010); Correia (2014); Akey (2015)). To address endogeneity, I use close elections for state executive officials spanning from 1998 to 2022, relying on the identification assumption that electoral outcomes in close elections have

³Computed from the FollowTheMoney individual-donor distributions underlying my contribution data: the mean GP donation sits at the 96th percentile of donor totals in the average race in the full sample and at the 95th percentile in the close-election sample, and above the 96th percentile in the median race in both samples. Committee and organization donors are excluded from the denominator.

⁴Boards of trustees primarily determine the assumed rate of return, set asset allocation weights, and select investment products within each asset category; Section 5.1 documents the commitment-approval authority of elected officials system by system.

⁵Preqin Global Private Equity & Venture Capital Report, 2020.

⁶On average, the investment allocation of public pension funds to alternative assets increased from 9% in 2001 to 33.8% in 2022 in the Public Plans Database.

quasi-random components (e.g., Lee (2008); Eggers et al. (2015)). I merge the election results with micro-data on PE funds, encompassing detailed investments by public pension funds, each PE fund's corresponding GPs, and characteristics of each PE fund, and examine the effect of connections at the GP-candidate-pension fund level. To validate the identifying assumptions, I show that GPs connected to winning and losing politicians are comparable along dimensions that might affect the investment decisions of public pension funds.

My first set of results concerns investment decisions (Section 4.1). Because a politician serving on a pension board can steer the fund's investments toward connected GPs, I exploit the heterogeneity in politicians' membership on the pension board. Political connections significantly increase the likelihood of a public pension fund investing in a GP when the connected politician serves as a board member of the fund, whereas offices without influence over board membership show no significant change. The effect is concentrated among ex officio board members who personally attend board meetings rather than offices that merely appoint board members.

I next examine whether such connection-based investments benefit or harm the investment returns of public pension funds (Section 4.2). Connections could provide an informational advantage that improves fund selection in an asset class characterized by substantial asymmetric information; alternatively, politicians' incentive to favor donors may dominate their fiduciary duty to select the best-performing funds. To investigate, I use a sample of PE funds invested in by public pension funds during the post-election office terms and compare the performance of funds managed by GPs connected to a pension board member with that of other PE funds whose GPs made donations but lack such connections as a result of electoral outcomes. I find that PE funds with political connections to a pension board member underperform by about 4.2 pp to 7.1 pp in net IRR relative to other PE funds of donating GPs in the same pension funds' portfolio, vintage year, and PE fund type. The comparison group matters for interpretation. Funds of donating GPs outperform other funds held by the same pension funds by roughly 8 pp, consistent with donating GPs being older, larger, and

better performing ([Section 2](#)). Connection-based commitments forfeit essentially all of this premium: relative to all comparable funds in the same state, vintage, and fund type, their performance is statistically indistinguishable from average. The economic cost of the connection is therefore a forgone selection advantage rather than outright capital destruction. This distinction sharpens rather than weakens the interpretation, because a favoritism channel that delivers average-looking performance is far less likely to attract scrutiny from other trustees, consultants, or beneficiaries than one that produces visible losses, which helps explain how connection-based investing persists.

After establishing the causal effect of political connections on both the investment decisions of public pension funds and the performance of connection-based PE funds, I explore several potential mechanisms behind this pattern. First, the connection effect strengthens with the connected official's formal authority over commitments, which I document system by system, and intensive-margin measures of board representation point in the same direction. Second, using politicians' election histories across federal, state, local, and primary elections, I find that the main results are more pronounced for politicians who run for elections again after the given election, consistent with stronger incentives to reward donors. Finally, states with a high corruption index during election years exhibit a pronounced pattern of connection-based investments, implying that a permissive norm among state officials might facilitate such favorable investments in connected GPs. As a policy-based test of the quid pro quo interpretation, I return to SEC Rule 206(4)-5 ([Section 7](#)): the selection effect disappears precisely when the rule attaches a two-year compensation ban to covered contributions, even though contributing itself remains legal.

To further explore the mechanisms behind the underperformance of connection-based PE funds, I examine fees and capital deployment. Connection-based PE funds charge higher carry rates (performance-based fees) than those without connections, with a difference of 1.8 pp to 2.3 pp relative to other PE funds, consistent with Phalipou and Gottschalg ([2009](#)), who demonstrate that fees are a primary component of actual PE fund performance; I return to the interpretation of contracted versus re-

alized fees below. Connection-based PE funds also hold a higher ratio of portfolio firms located in the same state as the connected politician. The tilt is directionally consistent with the forgone performance, although the fee and home-state channels are measured on different subsamples and their contributions are not separately identified. This pattern is difficult to attribute to local economic development objectives alone: economically targeted investment programs apply to local investments generally, whereas the home-state tilt I document appears specifically in the funds of GPs that donated to the connected politician, relative to other funds held by the same pension fund. These results therefore suggest a new channel behind the home-biased investments of public pension funds documented by Hochberg and Rauh (2013), beyond economically targeted investment programs.

This paper contributes to several strands of literature. First, and most directly, it builds on the literature on political representation and the governance of public pension funds (Andonov, Hochberg, and Rauh (2018); Korteweg, Panageas, and Systla (2024)). The closest paper to mine is Korteweg, Panageas, and Systla (2024), which quantifies how political appointees to pension boards affect performance across asset classes but, by its own account, does not explore the underlying mechanism. Supplying that mechanism is my contribution. Dyck, Manoel, and Morse (2022) name and model precisely this channel of pay-to-play allocations, in which asset managers provide benefits to politicians in return for mandates, and I provide direct evidence that it operates. Because I observe the individual donor GP, the individual politician, the board seat conferred by the election, and the subsequent commitment, I show that the underperformance documented at the board-composition level operates through specific donor-GP relationships rather than through the benign channels alone. The magnitudes are also informative: Andonov, Hochberg, and Rauh (2018) report that a ten percentage point increase in the fraction of board members who are state officials reduces net IRR by 0.9 pp for state-appointed officials and by 0.5 pp for ex officio officials. Although these board-composition effects are not directly comparable to my commitment-level estimates, the contrast is consistent with the average

board-composition effect reflecting a smaller set of connection-based commitments with substantially worse performance. More broadly, whereas the literature on political connections examines the value of connections to firms (e.g., Fisman (2001); Faccio (2006); Goldman, Rocholl, and So (2009); Akey (2015); Acemoglu et al. (2016); Schoenherr (2019); Brown and Huang (2020); Brogaard, Denes, and Duchin (2021); Bertrand et al. (2018); Fowler, Garro, and Spenkuch (2020)), I examine the costs that these connections impose on public asset owners when politicians serve as fiduciaries.

Second, this paper contributes to the growing literature on public pension funds' investment decisions in the PE markets. Pension funds have significantly increased their investment allocations to alternative assets (e.g., Andonov, Eichholtz, and Kok (2015); Ivashina and Lerner (2019); Begenau, Liang, and Siriwardane (2023)). Previous studies on the matching between PE investors (referred to as limited partners or LPs) and GPs document investors' liquidity (e.g., Lerner and Schoar (2004)), size of investor commitment (e.g., Da Rin and Phalippou (2017)), preferential access based on past performance (e.g., Lerner et al. (2022)), and the age of GPs (e.g., Goyal, Wahal, and Yavuz (2022)) as the main determinants for the selection of GPs. Hochberg and Rauh (2013) document that PE investors are likely to hold more PE funds of GPs in the same state, especially for public pension funds, and show a negative correlation between such home-bias investment and investors' overall PE performance. Previous research also documents deviations from return maximization driven by social objectives (Barber, Morse, and Yasuda (2021)), career concerns (Pennacchi and Rastad (2011); Dyck, Manoel, and Morse (2022)), and political motivations (Novy-Marx and Rauh (2011); Andonov, Hochberg, and Rauh (2018)), in line with Shleifer and Vishny (1994). I contribute to this literature by pinpointing the specific channel through which politicians' personal incentives causally affect the investment decisions of public pension funds, exploiting the quasi-random assignment of political connections through campaign contributions in close U.S. state elections.

Finally, this paper closely aligns with the asset management literature on the role of networks or relationships in investment decisions. An extensive literature docu-

ments that investors make decisions based on the geographical proximity of assets (e.g., Coval and Moskowitz (2001); Hong, Kubik, and Stein (2005); Ivković and Weisbenner (2005); Malloy (2005)), investment patterns of peers (e.g., Bursztyn et al. (2014); Pool, Stoffman, and Yonker (2015)), language or culture background of chief executives (e.g., Grinblatt and Keloharju (2001)), and education background of board members (e.g., Cohen, Frazzini, and Malloy (2008); Cohen, Frazzini, and Malloy (2010); Huang (2022)). In the public pension literature, pension funds exhibit a strong local bias in public equities (e.g., Brown, Pollet, and Weisbenner (2015)) and private assets (e.g., Hochberg and Rauh (2013)). Within this literature, Bradley, Pantzalis, and Yuan (2016) examine pension funds' public equity holdings in firms that make political contributions and document longer holding durations for those stocks. Their evidence is correlational and does not link individual politicians to individual firms. I use politician and GP pairs and quasi-random electoral outcomes to identify the causal effect of connections on PE commitments and to trace the mechanisms behind them.

2. Data

I construct a comprehensive dataset of PE investments, where I observe the detailed PE fund-level investment decisions of U.S. public pension funds sponsored by state and local governments from 1998 to 2022. Additionally, I collect comprehensive records of political contributions in U.S. state elections, which detail each filing by election cycle and outcomes for each election.

To examine the investment decisions of public pension funds in PE markets, I rely on Preqin as the primary dataset. I observe investments by institutional investors serving as LPs in PE funds, including the performance, measured in terms of net internal rate of returns (IRRs), fund size, and carry rates of PE funds, and covering the period from 1998 to 2022. The main advantage of these data lies in the investment records between LPs and GPs, which allows me to identify the accurate timing of individual LPs' investments in specific PE funds at a granular level. To analyze the

investment strategies of PE funds, I obtain deal-level investment data between PE funds and their portfolio firms from Preqin portal, including the type of PE fund, the name of the target firm, the location of the target firm, and the deal date.

Preqin assembles most of its data for U.S. public pensions through Freedom of Information Acts (FOIA) requests, providing substantially comprehensive coverage for public pension funds (e.g., Hochberg and Rauh (2013); Begenau et al. (2020)). Moreover, Harris, Jenkinson, and Kaplan (2014), Brown et al. (2015), and Gupta and Van Nieuwerburgh (2021) demonstrate similar performance estimates across different commercial data sets frequently used in PE literature and alleviate the concerns of selection bias in the datasets.

To measure the political contributions of GPs to candidates in state elections, I collect data on campaign finance contributions for U.S. state official elections from the National Institute on Money in State Politics. This nonpartisan, nonprofit organization archives a 50-state database of contributions to state political campaigns.⁷ I consider donations for candidates who run in elections for offices that comprise typical ex-officio positions on public pension boards, such as governor, lieutenant governor, treasurer, state controller, comptroller, secretary of state, attorney general, auditor, chief finance officer, and superintendent of public instruction. This dataset covers election cycles from 1998 to 2022. I connect PE firms in the Preqin data with contribution data by manually matching the name of PE firms with the name of contributors or the contributors' employer.^{8,9} The matching proceeds in two stages:

⁷Detailed information is available in McGovern and Greenberg (2014). The website address for the state election campaign contribution is <https://www.followthemoney.org/>.

⁸I focus on corporate and individual contributions as numerous papers document that individual executive contributions are positively associated with post-election firm value (e.g., Faccio (2006); Faccio, Masulis, and McConnell (2006); Goldman, Rocholl, and So (2009); Goldman, Rocholl, and So (2013); Fulmer, Knill, and Yu (2022)). More details can be found in the Appendix IA.2.

⁹While individual contributions may reflect personal political ideologies independent of firms' strategic decisions, individual contributions are an important channel, particularly because the majority of GPs are small firms with a median staff size of six in my data. Preqin provides up-to-date information on the total number of staff and investment team. Given that forming a political action committee (PAC) involves significant administrative costs, including legal and compliance expenses, it may not be cost-effective for most GPs, whose median number of investment team staff is four, to establish a PAC.

I first apply fuzzy string matching between Prequin firm names and the contributor and employer fields to generate candidate matches, and I then verify every candidate match manually, discarding matches that cannot be confirmed. Because each accepted match is verified by hand while candidate generation is limited by the fuzzy-matching threshold, measurement error takes the form of missed connections rather than false positives, which attenuates the estimated effects toward zero. Donations are aggregated at the GP-candidate-election level, and donations are excluded if the aggregated amount is less than \$1,000 to avoid potential reflection of individual ideological biases unrelated to the GPs' strategic decisions. I augment the campaign contribution data with information on voting outcomes for each election, sourced from OurCampaigns website. I define the vote margin as the percentage points by which a candidate wins or loses the election.

For the main analysis, I exclude observations where GPs donate to both winning and losing candidates in a given election where they make campaign contributions. Including these GPs, who have a 100% probability of forming a connection with the winning politician, diminishes the discrete change in the average outcome and leads to underestimation of coefficients in my econometric specifications. The proportion of GPs that hedge by donating to both winning and losing candidates comprise about 5% of my sample. This pattern of low proportions of hedging firms in the sample is also comparable to that found by Akey (2015), which uses a sample of U.S. congressional elections. This suggests that establishing political connections is costly and complicated, involving channels beyond campaign donations, and that the campaign donations can function as a public announcement of the connections between firms and politicians.¹⁰

To determine whether the office for which election candidates run results in pension board membership, I collect data on the board composition of public pension funds from their Comprehensive Annual Financial Reports (CAFRs), which report

¹⁰This also alleviates concerns about including individual donations, as significant reflections of personal ideologies in GP contributions would likely result in a substantial number of GPs contributing to both winning and losing candidates in a given election.

the board composition and the related appointment procedures. In cases where this information is not available from CAFRs, I refer to state and municipal codes and statutes. I use time-invariant board composition for public pension funds to identify the relationship between the office title and board membership of each public pension fund. Andonov, Hochberg, and Rauh (2018) show that board composition rarely changes and is typically fixed long before public pension funds started allocating investment allocations to PE funds.

To examine the mechanisms driving the relationship between GPs and public pension funds, it is crucial to understand how these funds react to PE funds connected to state officials. For this purpose, I utilize the Public Pension Fund Database (PPD) obtained from the Center of Retirement Research at Boston College. The PPD tracks information on financial information and investment allocations for 229 public pension plans, covering 95% of public pension assets nationwide, from 2001 to 2022. Using these data, I test, for instance, whether they have similar asset sizes or PE allocation weights. I merge the PPD data with the Preqin data through a manual matching by pension fund name or the hierarchy of public pension system from the websites of state government if not available.

To provide an additional mechanism that might drive my main results, I utilize the state-level corruption measure from Glaeser and Saks (2006). The measure reflects the enforcement of public corruptions based on the number of federal convictions for public corruption in each state, normalized by the number of public employees, during a given year, as reported by the U.S. Department of Justice's Public Integrity Section.¹¹ This measure is widely used in previous studies (e.g., Butler, Fauver, and Mortal (2009); Hochberg and Rauh (2013)). Additionally, I use the alternative measure of state-level corruption culture based on a survey completed in 2003 by state House reporters, as documented by Boylan and Long (2003). This measure assesses the level of overall public corruption in the state on a scale from -3 (least corrupt) to 3 (most corrupt).

¹¹<https://www.justice.gov/criminal/criminal-pin>.

Table 1 presents the summary statistics. Panels A, B, and C present election with ± 5 pp, ± 3 pp, and ± 1 pp vote margin, respectively. For the sample at the GP-candidate-pension level, the average contribution from GPs to individual candidates ranges from \$4,001 to \$6,950. The average value of the $1\{Investment\}$ variable ranges from 0.5% to 0.8%, and that of the $1\{Board\ Title\}$ variable ranges from 7.7% to 9.1%.

Panel (A) of Figure 1 displays time-series plots of GP donations to candidates in state elections. As most states hold their general elections in the same year at four-year intervals, there is a clear four-year cycle in both the average amount and number of GP donations to candidates for state executive officers.¹² Note that the average donation increased substantially over the 2006-2010 election cycles, a period that ends with the Supreme Court's 2010 ruling in *Citizens United v. Federal Election Commission*, which expanded firms' freedom to engage in political contributions. Public pension funds' investment allocation to alternative assets also rose sharply after 2006.¹³ Panel (B) provides a pie chart summarizing the distributions of titles for candidates receiving GP contributions in each election. About 52% of contributions from GPs are directed towards candidates running for governor.¹⁴

While the primary focus of this paper is not the endogenous choice to make campaign contributions, I compare observed characteristics between GPs who engage in political contributions and those who do not. This analysis aims to provide insight on the determinants affecting their participation in political activities. Internet Appendix Table IA.14 presents summary statistics for a comparison of GPs who have made campaign contributions in state elections with those who have not. GPs who make contributions tend to be older, have larger AUM, manage more PE funds, and exhibit better performance. Moreover, within the sample of GPs who make contributions, the years of contributions are statistically indistinguishable from the years of no contribu-

¹²All states except Louisiana and Mississippi hold general state elections in the same year.

¹³See Internet Appendix Figure IA.3 that displays the time series of investment allocation of U.S. public pension funds by asset class category.

¹⁴For some campaign contributions made as a set for both governor and lieutenant governor, I allocate the contributions to both the governor and lieutenant governor. Therefore, the proportion of contributions to governors ranges from 52% to 78%.

tions, except for AUM, the number of non-buyout PE funds, and past performance. The years in which contributions are made show slightly larger AUM, slightly more non-buyout PE funds, and worse past performance, which suggests that these characteristics might be the main motivation behind participating in political activities.

3. Empirical Strategy

The ideal experiment to identify the causal effect of political connections with state officials on public pension funds would be to randomly assign such connections to GPs. In practice, comparing a group of GPs with connections to a control group with no connections is subject to potential endogeneity problems. The decision to engage in political activities might be correlated with some unobserved factors that also affect the investment decisions of public pension funds. For example, the future cash flows of GPs may affect both their engagement in political contributions as an investment in political capital and their likelihood of receiving investments from public pension funds.

To overcome this identification challenge, I exploit the institutional settings of pension board governance structure, where politicians must win state elections to secure a pension board position. I further leverage quasi-random electoral outcome by using a sample of close state elections to establish causality. The underlying identification assumption is that there is some inherent uncertainty in the outcome of a close election, as suggested by Lee, Moretti, and Butler (2004), Lee (2008), and Eggers et al. (2015). Following Nguyen et al. (2012), Akey (2015), and Do, Lee, and Nguyen (2015), I focus on the subsample of state elections for state executive officials that have less than five-, three-, and one-percentage point vote margin, as it is plausible to assume some randomness in the electoral outcome for such narrow margins. Admittedly, while identifying ex ante close elections from polling data seems to have a cleaner measure than ex post electoral outcomes, obtaining both standard and consistent polling data, especially for local state elections, remains challenging.

The mapping from election outcomes to board influence is predetermined: the composition of boards of trustees at public pension funds is largely static and set by state or municipal codes and statutes adopted before PE became an available asset class (Andonov, Hochberg, and Rauh (2018)). Which office holds or appoints a given board seat therefore does not respond to campaign finance or to pension fund performance. This institutional feature pins down the mapping from offices to board seats, but it does not by itself address the endogeneity of which GP is connected to which politician; identifying the effect of the connection requires the quasi-random variation in electoral outcomes from close elections that I exploit throughout.

My identification assumption is that the outcomes of close state elections are analogous to random assignment within a narrow range around the zero vote margin. Do, Lee, and Nguyen (2015) and Eggers et al. (2015) provide evidence that the outcomes of close U.S. state elections are quasi-random, with no systematic or predictable sorting of winning and losing candidates.¹⁵ To further support the quasi-random assignment of electoral outcomes, I examine the continuity of observable, predetermined characteristics of GPs that might influence the investment decisions of public pension funds. To compare the characteristics between GPs based on the heterogeneity of electoral outcomes of their connected candidate, I employ a sample at the GP-candidate-election level using the following specification for close elections:

$$y_{g,c,s,t} = \alpha_s + \alpha_t + \beta_1 \text{Winner}_{g,c,s,t} + \varepsilon_{g,c,s,t} , \quad (1)$$

where $y_{g,c,s,t}$ denotes the outcome of interest. The g indexes GPs, c indexes election candidates, s indexes states where candidate c runs, and t indexes election year. $\text{Winner}_{g,c,s,t}$ is an indicator variable that equals one if GP g donated to candidate c who wins state s election at year t . α_s denotes state fixed effects and α_t denotes the election year fixed effects.

¹⁵This assumption holds for the donated candidates in my sample specifically, not only for close elections in general: the share of donated candidates who win is statistically indistinguishable from one half at every window (57.7% within ± 0.5 pp, 55.3% within ± 1 pp, 51.5% within ± 2 pp, and 53.4% within ± 5 pp), and exact binomial tests cannot reject an even split at any window.

As GPs launch subsequent funds with gaps of several years and some variables are mostly missing, there are some limitations to the control variables for GPs, and it might reduce the size of the available sample. Nevertheless, to test for differences in each variable around the threshold, I examine past assets under management (AUM), age of GP, buyout ratio, and the location of the GP. I define *GP AUM* as the aggregate size (\$million) of PE funds raised during the previous five years at a given year. The *GP Age* of the GP is calculated as the difference between the given year and the establishment year of the GP. The *GP Buyout Ratio* is defined as the proportion of buyout funds relative to all PE funds raised by the GP in the past five years at a given year. Additionally, the *Home GP* designation is assigned if the GP is located in the same state as the public pension funds in my sample, providing a measure of geographic proximity between GPs and public pension funds. Additionally, I define *Plan Funded Ratio* as the ratio of a public pension fund's actuarial assets to its actuarial liabilities over the five years preceding the given election year. The *Plan Investment Return* is calculated as the annual investment return of public pension funds during the previous five years before the given election year. To avoid the limitation of the availability of the control variables, the main analysis on the selection of GPs by public pension funds does not include the controls.

Table 2 presents the main coefficients, denoted as β_1 and defined in Eq. (1). Columns 1, 2, 3, and 4 report results from state elections for the full sample and for elections with vote margins of ± 5 , ± 3 , and ± 1 percentage points, respectively. Each row corresponds to a characteristic of GPs and pensions, with the main coefficient estimated using Eq. (1) as listed in the first column of Table 2. Most coefficients are statistically insignificant and economically small. Balance is not universal, however: the past performance of donating GPs is significantly lower for GPs connected to winning candidates at the ± 3 pp margin, and GP assets under management and plan investment returns are marginally imbalanced at the ± 5 pp margin. The past-performance imbalance is the most relevant for my outcomes, and I address it directly: the performance results are unchanged when I control for the GP's prior-fund

performance (Internet Appendix [Table IA.3](#)). The remaining predetermined observables show no significant differences between GPs donating to winning candidates and GPs donating to losing candidates in close elections. I observe no differences in past AUM measures and GP age, which alleviates concerns that the differences in GP age may affect investment decisions (Goyal, Wahal, and Yavuz (2022)). Additionally, the general investment strategies or patterns of both GPs and public pension plans show no differences. Finally, I also observe no differences in the relative location of GPs to public pension funds, which is known to have correlation with the investment decisions of public pension funds (Hochberg and Rauh (2013)), and it strengthens my identification assumption of some randomness in close election outcome.

Building upon this identification assumption, I employ the following specification for close elections to examine the causal effects of political connections on the investment decisions of public pension funds:

$$\begin{aligned} \mathbb{1}\{Investment\}_{g,c,s,l,t} = & \alpha_s + \alpha_t + \beta_1 Winner_{g,c,s,t} \times \mathbb{1}\{Board Title\}_{c,s,l} \\ & + \beta_2 Winner_{g,c,s,t} + \beta_3 \mathbb{1}\{Board Title\}_{c,s,l} + \varepsilon_{g,c,s,l,t}, \end{aligned} \quad (2)$$

where g indexes GPs, c indexes election candidates, s indexes state where candidate c runs, l indexes public pension funds, and t indexes election year. $\mathbb{1}\{Board Title\}_{c,s,l}$ is an indicator variable that equals one if the title of office for the state s election, which the candidate c runs for, obtains or assigns a board membership of public pension funds l by virtue of holding the office and is zero otherwise. α_s denotes state fixed effects and α_t denotes the election year fixed effects. Standard errors are clustered by state.

My main dependent variable is a measure of the selection of GPs by public pension funds, which I refer to as $\mathbb{1}\{Investment\}$. Each GP g in my sample makes a donation to candidate c for state s election. I construct the $\mathbb{1}\{Investment\}$ variable based on granular pairwise combinations of GP g and individual public pension funds l . I define $\mathbb{1}\{Investment\}_{g,c,s,l,t}$ as equal to one if public pension fund l in

state s commits capital to a PE fund managed by GP g , which made a campaign contribution to candidate c , during the upcoming term of the office sought in the state s election of cycle t , and zero otherwise.

The primary coefficient of interest is β_1 , which measures the differential effect of a political connection to a candidate c whose potential new position obtains or assigns a board member position in public pension fund l relative to other types of candidates whose potential office position neither appoints nor is assigned as a member of the board of trustees in public pension fund l .

Estimating the costs and benefits of a dollar spent on donating to a politician may seem straightforward. However, political contributions are not the only costs firms incur to establish and maintain political connections. For instance, in the earlier example of Alan Hevesi, Markstone’s co-founder provided at least \$900,000 in luxury trips and other benefits in addition to his campaign donations to Alan Hevesi. Dinċ (2005) and Bertrand et al. (2018) find that politically connected entities favor associated politicians by adjusting their employment decisions or lending activities during elections. Akey (2015) also shows that firms may spend substantial amounts directly hiring former government employees, as ex-government staffers derive significant benefits from their personal connections to public officials (i Vidal, Draca, and Fons-Rosen (2012)).

4. Results

In Section 4.1, I investigate the effects of political connections on investment decisions at the individual level of public pension funds. To exploit the heterogeneous influence of a politician across the board of public pension funds, I further examine the differential impacts based on the office position of a politician when appointed or assigned as a board member of the pension board. In Section 4.2, I present the empirical analysis of the performance in politically connected PE funds in which public pen-

sion funds invest, examining whether these connection-based investments enhance or undermine the investment performance of pension funds.

4.1 Investment Decisions

I investigate the effect of political connections on the investment decisions of public pension funds, measured during the post-election term of office that the connected politician runs for. To exploit the heterogeneous influence of politicians on public pension funds, I first split the sample by the $\mathbb{1}\{Board\ Title\}$ dummy variable and examine the effect when a politician sits on or assigns delegates to the board of each public pension fund. [Figure 2](#) presents graphical analyses of the mean $\mathbb{1}\{Investment\}$ value by the margin of victory or defeat, grouping politicians based on the $\mathbb{1}\{Board\ Title\}$ variable. I show average outcomes for close elections with vote margins of five-, three-, and one-percentage-point in panels (A), (B), and (C), respectively. The left bars below the threshold represent the politicians who lose elections by five-, three-, and one-percentage-point, while the right bars above the threshold represent politicians who win elections by five-, three-, and one-percentage points in panels (A), (B), and (C), respectively. Among the office positions that are assigned as or appoint a pension board member, GPs connected to winning candidates are significantly more likely to receive investments from the pension fund, compared to cases where the connected politicians lose. In contrast, office positions that do not affect the board membership show no significant change in this likelihood. The magnitude of the differences is greatest for the narrowest vote margin of (-1 pp, +1 pp). This pattern implies that the connections are more valuable when the connected politician has a stronger rival and there is more uncertainty in their future political career. Internet Appendix [Figure IA.4](#) provides additional graphical analyses on the difference in mean $\mathbb{1}\{Investment\}$ value by the margin of victory and defeat on each group based on $\mathbb{1}\{Board\ Title\}$. It shows that there is a significant difference only among politicians whose title is assigned as or appoint a board member in a given public pension fund.

Panel A of [Table 3](#) presents estimates of the effect of political connections with a winning candidate on the investment decisions of public pension funds, using [Eq. \(2\)](#). Columns 1, 2, 3, and 4 show results from state elections with vote margins of full sample, ± 5 , ± 3 , and ± 1 pp, respectively. The pension funds' favorable investment in connected GPs is more significant when the connected politician is assigned as or appoints a board member to public pension funds. Column 1, using the full sample of state elections, shows insignificant results, which implies the existence of endogeneity of GPs' political activities, underscoring the importance of the identification strategy that relies on quasi-random electoral outcomes to examine the effects of political connections. When using close elections that presumably provide quasi-random assignment of electoral outcomes, the wedge between winning politicians who have influence on the board and those who do not ranges from 3 pp to 7.9 pp, which is substantially large in economic magnitude given that the average probability of $\mathbb{1}\{Investment\}$ ranges between 0.5% and 0.8%.

To further explore the heterogeneous effects by the pension board membership of the offices that state elections' candidates run for, I also directly compare the effects of the offices that are assigned as a board member of the pension fund to those that appoint a board member, by running the following regressions:

$$\begin{aligned} \mathbb{1}\{Investment\}_{g,c,s,l,t} = & \alpha_s + \alpha_t + \beta_1 Winner_{g,c,s,t} \times \mathbb{1}\{Ex\ officio\}_{c,s,l} + \beta_2 Winner_{g,c,s,t} \times \mathbb{1}\{Appoint\}_{c,s,l} \\ & + Winner_{g,c,s,t} + \mathbb{1}\{Ex\ officio\}_{c,s,l} + \mathbb{1}\{Appoint\}_{c,s,l} + \varepsilon_{g,c,s,l,t}, \end{aligned} \quad (3)$$

where $\mathbb{1}\{Ex\ officio\}_{c,s,l}$ is a dummy variable equal to one if the office which candidate c runs in state s is assigned as a board member of the public pension fund l in state s . Similarly, $\mathbb{1}\{Appoint\}_{c,s,l}$ is a dummy variable equal to one if the office which candidate c runs in state s appoints a board member of public pension fund l in state s . α_s denotes state fixed effects and α_t denotes the election year fixed effects.

Panel B of [Table 3](#) displays the estimated treatment effects from [Eq. \(3\)](#) under the same specifications as Panel A. The results indicate that political connections

with politicians who actually sit on the public pension fund significantly induce investment allocation to PE funds of connected GPs. The treatment effects for the ex-officio board member range from 4.7 pp to 10.4 pp in close state elections which is larger than the magnitude of the baseline results in Panel A. While the political connection to the ex-officio member shows significant treatment effects, connection to offices that appoint a person as a pension board member shows no consistent significance across various specifications, although there is some marginal significance in columns 2 and 3. This indicates that the influence of political connections is more pronounced when the connected politician directly participates in board meetings and influences the investment decisions of pension board members. Further, F -tests reject the null that the coefficients on $\mathbb{1}\{Ex\ officio\}$ and $\mathbb{1}\{Appoint\}$ are equal at the 10% level, except in column 2 (the ± 5 pp window).

Similar to [Figure 2](#), I calculate the average outcomes of $\mathbb{1}\{Investment\}$ by margin of victory or defeat, grouping politicians based on the $\mathbb{1}\{Ex\ officio\}$ and $\mathbb{1}\{Appoint\}$ variables. [Figure 3](#) presents average outcomes for close elections with vote margins of five-, three-, and one-percentage-point in panels (A), (B), and (C), respectively. The leftmost bar—among the bars below the threshold—represents politicians who run for an office that neither assigned nor appoints pension board members and lose elections. The next bar represents politicians who run for an office that appoints a pension board member but lose elections. The rightmost bar—among the bars below the threshold—represents politicians who run for an office that is assigned as a pension board member but lose the election. Similarly, the bars above the threshold represent the same cases, except the politicians win elections. I find significant differences among elected politicians whose office is assigned as a board member of public pension funds, as captured by the indicator $\mathbb{1}\{Ex\ officio\}$. In contrast, offices that appoint board members show no persistently significant differences in close elections. Internet Appendix [Figure IA.5](#) also provides additional graphical analyses on the difference in mean $\mathbb{1}\{Investment\}$ value by the margin of victory or defeat across each group based on $\mathbb{1}\{Ex\ officio\}$ and $\mathbb{1}\{Appoint\}$ variables. It shows that there is

a consistent significant difference only among politicians whose title is assigned as a board member in a given public pension fund.

Overall, the results in [Table 3](#) show that there is a systemic pattern consistent with the notion that political connections facilitate favorable investment decisions for public pension funds. The impact is significant when the connected politician actually attends board meetings and can influence decisions through direct interactions with other board members.

4.2 Investment Performance

Whether connection-based investments help or harm performance is an empirical question: connections could carry an informational advantage in an opaque asset class, or political incentives could dominate the incentive to select the best-performing funds.

However, to test the effect of political connections on the investment performance of public pension funds, the sample requires counterfactual PE funds that public pension funds could have considered investing in without political connections. To construct plausible PE funds, I identify a set of PE funds that (1) are invested in by public pension funds and (2) have no political connections with an ex-officio board member during the post-election term. Thus, my sample consists of every PE fund invested in by public pension funds during the upcoming office term after each state election. This counterfactual sample allows me to control for the investment skills of public pension funds, as I can compare the performance of PE funds invested in by the sample public pension funds during the subsequent office term. To mitigate the concerns about the possible endogeneity of political connections with respect to the performance of PE funds, I exclude PE funds whose GP donated in non-close state elections in my sample. I then compare PE funds connected to politicians in close elections with other non-connection-based PE funds that public pension funds invest in.

To directly test how the PE funds with political connections differ from other PE funds and their impact on public pension funds, I employ multivariate ordinary least squares regression. The specification is as follows:

$$y_{f,g,c,s,v,k,p} = \beta_1 \mathbb{1}\{Donated\}_{f,g,c,s,v,k,p} + \beta_2 \mathbb{1}\{Donated\}_{f,g,c,s,v,k,p} \times \mathbb{1}\{Connected\}_{f,g,c,s,p} + \alpha_v + \alpha_k + \alpha_{s(p)} + \varepsilon_{f,g,c,s,v,k,p}, \quad (4)$$

where f indexes the PE fund, g indexes the GP, c indexes the election candidates, s indexes the state where candidate c runs for election, v indexes the vintage year of the PE fund f , k indexes the fund type of PE fund f , and p indexes the public pension fund. $\mathbb{1}\{Donated\}_{f,g,c,s,v,k,p}$ is a dummy variable equal to one if the PE fund f , of vintage year v and fund type k , is invested in by public pension fund p and is under the management of the GP g who made a campaign contribution to candidate c running in a close state s election, and is zero otherwise. The $\mathbb{1}\{Connected\}_{f,g,c,s,p}$ is an indicator variable that equals one if the politician c that GP g of PE fund f donated to in a close state s election sits on the board of public pension p by virtue of office as an ex-officio member. The other variables are defined in [Section 3](#). α_v denotes vintage year fixed effects, α_k denotes PE fund type fixed effects, and $\alpha_{s(p)}$ denotes state (pension fund) fixed effects. Standard errors are clustered at the state level.

The $\mathbb{1}\{Donated\}$ variable captures how PE funds managed by GPs who participate in donation activities in state elections differ from other PE funds managed by GPs who do not participate. It implies the differences between GPs who have connections with state politicians and those who do not. The coefficient of interest, β_2 , measures the additional impact on the group of PE funds whose GP formed connections to a member of public pension funds through donations compared to other PE funds of GPs that made donations to other candidates who did not become a pension board member. In other words, the β_2 represents the treatment effect of political connections on pension board, conditional on the firms' participation in political activities.

To address potential endogeneity concerns, similar to [Section 3](#), I use close elections to generate plausibly exogenous shocks to political connections between GPs and public pension funds, and drop PE fund if its GP donated in non-close state election. The identifying assumption is that the outcome of a close election is quasi-random (Lee (2008); Eggers et al. (2015)). I use close elections with vote margins of ± 5 , ± 3 , and ± 1 pp to match with the samples used in the main analysis.

I measure the performance of PE funds using the net-of-fees IRR. The advantage of using net IRR is that it produces a simple and intuitive measure of fund return; however, it ignores movements in the overall PE market or any other source of risk (Kaplan and Schoar (2005); Phalippou and Gottschalg (2009); Harris, Jenkinson, and Kaplan (2014); Kaplan and Sensoy (2015)). To address this problem, I use vintage year and PE fund type fixed effects, which allow me to control for market movement, fund type risks.

Connection-based PE funds underperform the other funds of donating GPs. [Table 4](#) presents the results for the estimation of [Eq. \(4\)](#) on net IRR (%), including either state fixed effects or public pension fund fixed effects. First, the coefficients on $1\{Donated\}$ are positively significant, indicating that GPs that make campaign contributions have different characteristics than GPs who do not donate, showing better performance overall. The coefficients on the interaction terms are significant only in the sample of close elections (columns 3 – 8), with magnitudes ranging from -7.1 pp to -4.2 pp. Given that the average net IRR is about 16.8%, the magnitude of the interaction terms is also economically significant. I interpret this result as follows. The PE funds that public pension funds invest in through the political connections with the pension board member underperform relative to other PE funds under GPs that donated to a politician but did not form political connections with the pension board member as a result of electoral outcome. These results imply that pensions could have earned higher returns if they had invested in similar GPs without connections. The magnitude of underperformance may not be substantial enough to attract significant attention, given the wide dispersion of PE fund returns in my sample. This suggests

that, despite the systematic pattern of underperformance associated with political connections, this investment pattern might have persisted in the pension market under the supervision of other board members and the investment consultants hired by the pension board. However, given that the typical life span of a PE fund is about ten years (e.g., Metrick and Yasuda (2010)), an annualized return shortfall of this size accumulates over the fund's life into a substantial loss of capital for plan participants. The market-adjusted estimates in Panel B of Table 4 show that connection-based commitments forgo the above-market value that the other funds of donating GPs deliver.

The results are not being driven by unobserved state- or public pension fund-level factors (e.g., a state investment policy or pension fund investment program), because the specifications include state fixed effects or public pension fund fixed effects. By including these fixed effects, the performance comparison is conducted within the public pension funds in the same state or the same public pension fund. An alternative channel worth noting is investment consultants, which pension funds with political boards hire more intensively and which participate in manager selection (Andonov, Bonetti, and Stefanescu (2023)); my data do not identify which commitments were consultant-mediated, so I cannot rule out that consultants transmit part of the connection effect, although a consultant channel would itself represent a mechanism of political influence rather than a benign alternative. In summary, political connections with GPs through a public pension fund's board member cause the fund to forgo the selection premium that donating GPs' funds otherwise deliver in its PE investments. This suggests that the informational advantage that might be provided by political contributions does not systematically function in PE investments for public pension funds.

A potential concern with the net IRR measure is that vintage year and fund type fixed effects may not fully absorb movements in the overall PE market, because two funds raised in the same vintage year can deploy and return capital at different points in time. To address this concern, I compute market-adjusted performance measures directly from fund-level cashflows: the total value to paid-in multiple (TVPI), the Kaplan and Schoar (2005) public market equivalent (KS-PME), and the direct alpha of

Gredil, Griffiths, and Stucke (2023), which is the exact annualized market-adjusted return implied by compounding each cashflow with the benchmark index. All measures use the CRSP value-weighted market return as the benchmark, and every fund with a reported net IRR in my sample has sufficient cashflow data for these computations. Panel B of Table 4 presents estimates of Eq. (4) for these outcomes. The results confirm the net IRR findings: at the ± 5 pp vote margin, connection-based PE funds exhibit a 0.42 lower TVPI, a 0.32 lower KS-PME, and a 6.2 pp per year lower direct alpha than other PE funds held by the same pension funds. The 0.32 reduction in KS-PME relative to the other funds of donating GPs implies that the typical connection-based commitment returns roughly its public market equivalent value, whereas the other funds of donating GPs return well above it; the connection forfeits the excess value, which averages 0.08 across all funds in my sample, several times over relative to the donor-GP benchmark. The underperformance of connection-based investments is therefore not an artifact of the IRR measure or of coarse market adjustment.

5. Mechanisms

To understand how political connections affect the PE investment decisions of public pension funds, I explore potential mechanisms that might drive the main results of PE fund selection. First, in Section 5.1 I investigate whether state officials with more voting power show stronger connection-based investment patterns. Second, in Section 5.2, I examine the heterogeneous effects based on the incentives of politicians. Third, in Section 5.3, I compare the effects by the degree of corruption in each state. To better understand the mechanisms underlying the underperformance of politically connected PE funds, I investigate the fund fees and home-biased portfolio allocations of connected PE funds in Section 5.4 and Section 5.5, respectively.

5.1 Heterogeneity in Board Representation

In this section, I consider the extent to which pension funds with greater representation of connected politicians are more likely to invest in the GPs associated with those politicians. To measure the degree of representation of connected politicians on public pension fund boards, I use the proportion of board members assigned or appointed by the election office that the connected politicians run for, relative to the total board size. For example, the Teachers' Retirement System of the State of Illinois (IL Teachers) has fifteen board members, with the governor of Illinois appointing seven of the members. Thus, the governor's representation on the pension board is 46.7% ($= \frac{7}{15}$). I assign this value to the variable *Ratio{Appoint}* and zero to *Ratio{Ex officio}* for the relationship between the Illinois governor and IL Teachers, since the governor appoints people to the public pension fund board. By contrast, for the New York state comptroller, who serves as the sole trustee of the New York State Common Retirement Fund (NY Retirement), the representation measure is 100%. I assign a value of 1 to the variable *Ratio{Ex officio}* and zero to *Ratio{Appoint}* for the relationship between the New York comptroller and NY Retirement.

A potential concern is that this measure might not accurately proxy for connected politicians' actual influence: state officials tend to have more financial-industry experience than the average trustee,¹⁶ and the career concerns of other board members might incentivize them to align with state officials' preferences (e.g., Pennacchi and Rastad (2011); Dyck, Manoel, and Morse (2022)). Previous papers nonetheless show that variation in board representation is correlated with heterogeneity in pension funds' investment decisions (e.g., Hochberg and Rauh (2013); Bradley, Pantzalis, and Yuan (2016); Andonov, Hochberg, and Rauh (2018)), so the measure remains a useful proxy even if it does not fully capture influence.

¹⁶Andonov, Hochberg, and Rauh (2018) document that about 71.3% of trustees have experience in the finance industry, while about 80% of state-official-related trustees have such experience during the 1990 to 2001 period.

The formal authority of elected officials over individual commitments varies across systems in ways that support this interpretation. At the New York State Common Retirement Fund, the Comptroller is sole trustee and every investment receives his personal final approval,¹⁷ and the North Carolina State Treasurer was similarly the sole fiduciary of the state retirement systems throughout my sample period.¹⁸ The Minnesota State Board of Investment consists of four statewide elected officials and itself votes to authorize each private markets commitment.¹⁹ By contrast, at the largest California systems, staff execute individual commitments under delegation limits set by the board’s investment committee, on which the State Treasurer and Controller sit *ex officio*, so elected officials’ influence operates through policy, delegation limits, and the largest commitments,²⁰ and the Teacher Retirement System of Texas seats no elected official at all, with all trustees appointed by the governor. This institutional gradient, from personal approval authority for *ex-officio* sole trustees to appointment power alone, matches the empirical gradient in my results, in which connection effects are concentrated among *ex-officio* board offices and absent for offices that only appoint trustees.

The intensive margin points in the same direction. When the board indicators are replaced by the fraction of board seats the office holds, the interaction for *Ratio{Ex officio}* rises monotonically as the vote-margin window narrows, from 6 pp at ± 5 pp to 61 pp at ± 1 pp, although it is statistically significant only in the narrowest window, and the *Ratio{Appoint}* interactions show no effect in any specification (Internet Appendix [Table IA.8](#)).

¹⁷N.Y. Retirement and Social Security Law §422; Office of the State Comptroller, “Our Responsibilities.”

¹⁸N.C. Gen. Stat. §147-69.2. North Carolina replaced the sole-fiduciary model with a five-member investment authority effective 2026, after my sample ends.

¹⁹Minn. Stat. ch. 11A; State Board of Investment meeting materials record per-fund authorizing resolutions.

²⁰CalPERS Delegation Resolution No. 07-02-INV (2007) and subsequent private equity program policies; CalSTRS Investment Policy Statement §1.4. The delegation terms in place before 2007 are not publicly documented.

5.2 Heterogeneity in the Incentives of Politicians

Which type of politician has a strong incentive to steer public pension funds favorably towards connected GPs? Politicians rely on political contributions to fund their election campaigns. Presumably, if a politician plans to run for elections again in the future, this would affect his or her incentives to steer pension funds towards making investment decisions favorable to their connected GP, from which the politician hopes to receive future contributions. Therefore, my results might be more pronounced for politicians with a stronger intention to run in future elections, as they may be more inclined to prioritize steering funds towards connected GPs to secure future political contributions.

To measure politicians' incentives toward future elections, I collect data on the race histories of each election candidate from OurCampaigns, which records federal, state, local, and primary elections. I define *Future Election Seeker* as equal to one if the candidate runs in any election after the given election. The variable measures the ex-post outcome rather than an ex-ante proxy of incentives, but cases where politicians change their plans only attenuate the estimates, so the coefficients represent a lower bound in the sample of future election seekers.²¹ Because the data include primary elections, in which candidates with intentions to run in future elections compete for a general election (Ware (2002)), the measure potentially captures most politicians with ex-ante needs for future campaign donations. I estimate results separately for the two groups of politicians defined by this indicator.

Panel A of Table 7 displays the estimated treatment effects from the estimation of Eq. (2) on the sample of election candidates whose *Future Election Seeker* value is equal to one. The regression for column 1 uses the full sample of state elections and shows no significant differences in the probability of GPs receiving investments from public pension funds. In contrast, using the close elections that presumably provide quasi-

²¹The measurement error in the independent variable incurs attenuation bias in linear regressions, which lowers the estimates toward zero (e.g., Griliches and Ringstad (1970); Angrist and Pischke (2009)).

random assignment of political connections, I find that GPs with political connections to state officials have a 3.5 pp to 8.1 pp higher probability of receiving investments from the pension fund where the connected politician affects the pension board's composition. When compared to the unconditional mean of the dependent variable, which ranges from 0.5% to 0.8%, the magnitude is economically significant.

The results on the subsample of election candidates whose *Future Election Seeker* value is zero are depicted in the Panel B of [Table 7](#). I find no significant differences between GPs who have political connections with public pension boards and those who do not in the likelihood of receiving investments from the public pension fund for all specifications, except column 3. Column 3 shows a significantly lower likelihood for board-connected GPs, suggesting that politicians who do not need future donations are less likely to favor their connected GPs than other politicians without connections to those GPs.²²

The results demonstrate that politicians' consideration of their future careers creates incentives for them to prioritize the interests of their contributors. These patterns are consistent with the corruption channel as posited by Shleifer (1996), wherein politicians direct public capital into certain investments in return for political contributions to their campaigns.

5.3 Heterogeneity in State Corruption

Another potential determinant of the effect of political connections on public pension funds is the corrupt culture within a state. For instance, Dimmock, Gerken, and Graham (2018) show that corruption or fraudulent behaviors can be contagious among coworkers. Corruption events involving public officials may induce state officials who serve on pension boards to engage in quid pro quo behavior that distorts the funds' investment decisions toward entities with political connections.

²²Due to the limited number of observations for politicians not classified as future election seekers in close elections with a ± 1 pp vote margin, the main coefficient cannot be identified. Therefore, the main coefficients for close elections with a ± 1 pp vote margin are missing in [Table 7](#).

To examine whether the heterogeneity of states' corrupt culture has differential effects on the investment decisions of public pension funds, I employ two commonly used measures for the degree of state corruption (e.g., Glaeser and Saks (2006); Butler, Fauver, and Mortal (2009); Hochberg and Rauh (2013)). First, I use the annual number of federal convictions of public corruption per public employee in each state between 1990 and 2021, and define a state as 'highly corrupted' when the number is greater than or equal to the sample median. Second, I use the corruption index from Boylan and Long (2003), which is based on a 2003 survey in which statehouse reporters assessed the overall corruption of their state's officials on a scale from -3 (least corrupt) to 3 (most corrupt). Similarly, I define a state as 'highly corrupted' when its rank is greater than or equal to the sample median.²³

Panel A of Table 8 displays the estimated treatment effects from Eq. (2) on the sample of states where convictions per public employee are above or equal to the sample median, with standard errors clustered at the state-election year level. In close elections, GPs with political connections have a 2.4 pp to 8.8 pp higher likelihood of receiving investments from the pension fund where the connected politician affects the board's composition, an economically significant magnitude relative to the unconditional mean of 0.6% to 1.1%, although the smallest estimate, at the ± 5 pp margin, is not statistically significant; the full sample of elections in column 1 shows no significant differences. In contrast, Panel B shows no statistically significant differences in below-median states. These results suggest that public pension funds tend to favor politically connected GPs in states experiencing a high number of public corruption convictions.

However, a drawback of using the number of convictions is that it might also correlate with the governance characteristics of state governments (e.g., Goel and Nelson (2011)). For example, a higher number of convictions might imply that the state government has a better monitoring system to detect corrupt activities among

²³For example, in certain years, the states of California, Florida, Georgia, Illinois, Ohio, and Pennsylvania appear on both lists of 'high-corruption' states based on the two versions of the corruption measures.

public officers. Therefore, I also utilize a second measure of state-level corruption from the survey conducted by Boylan and Long (2003).

Using the survey-based index (Internet Appendix Table IA.2), connected GPs in states with an above-median corruption index are 1.6 pp more likely to receive investments in the full sample of elections and 2.6 pp to 9.1 pp more likely in close elections (against an unconditional average of 0.5% to 0.8%; the intermediate ± 3 pp estimate is not statistically significant), with no significant differences in below-median states.

The results imply that connection-based investments by public pension funds are concentrated in corrupt environments where politicians interact and communicate with their peers. Although precise measures of corruption are difficult to observe, the consistent findings using two different measures commonly employed in the literature suggest that politicians' decisions influenced by personal connections might be more prevalent in cultures with higher levels of corruption.

5.4 Heterogeneity in PE Fund Fees

A natural explanation for the observed underperformance could be an 'excessive fee' narrative, in which pension funds invest in high-fee PE funds due to political connections, reducing net-of-fees performance. Limited partnership agreements between investors and GPs specify several fee types, including management fees and performance-based fees (e.g., Phalippou, Rauch, and Umler (2018); Metrick and Yasuda (2010)).

To assess the extent of fees charged by each PE fund, I obtain carry rates (%) from Prequin.²⁴ Carry rates represent the share of profits the GP would receive once the fund has exceeded the hurdle rate, and are thus considered performance-based fees. To examine the differences in fund fees between PE funds with political connections to pension board members and those without such connections, I estimate Eq. (4) for

²⁴Due to the limited availability of data on management fees in my sample, I focus on carry rates instead of management fees. For example, approximately 31% of the observations include data on carry rates, while only 24% have data on management fees, in my sample using close elections of ± 5 vote margins.

carry rates using the close state elections at different vote margins. The results are presented in [Table 9](#), with standard errors clustered at the state level.

Columns 1, 3, and 5 of [Table 9](#) present the effects of political connections on PE fund fees invested by pension funds within the same state. I find that PE funds managed by donating GPs charge somewhat higher fees compared to those managed by GPs not participating in political activities, although the difference is statistically significant only at the narrowest ± 1 pp vote margin. Then, I exploit the exogenous change in political connections using close elections within the sample of donating GPs and examine the differences in fees for PE funds whose GPs are politically connected to the pension board member as a result of the electoral outcome. I find that PE funds connected to the public pension board members charge additional carry rates of about 2 pp compared to other PE funds that failed to have connections with board members in elections with a ± 5 pp vote margin, although the estimates lose statistical significance at narrower vote margins, where treated funds with fee data are few. In addition, when comparing PE funds invested in by the same public pension funds using the pension fund fixed effects, the treatment effects in columns 2 and 4 range from 1.8 pp to 2.3 pp, while the estimate at the ± 1 pp vote margin in column 6 is smaller and insignificant, reflecting the limited number of treated funds with fee data at the narrowest margin. Given that the unconditional mean of the dependent variable is about 19.8%, the magnitude of these additional fees is economically significant. The magnitude of abnormal fees may not be substantial enough to attract significant attention, as the standard deviation of carry rates in my sample is approximately 3.5%. Similar to [Section 4.2](#), this might allow the excessive-fee pattern to persist even under the supervision of other board members and investment consultants.

The fee evidence should be read as a description of contract terms rather than as a quantitative decomposition of the return gap. Because the carry rate is a contracted performance-fee rate rather than realized carried interest, and because carry rate data are available for only about 31% of the sample, I do not attribute a specific share of the forgone premium to fees and treat the fee channel as suggestive

supporting evidence. The qualitative point is what matters for the mechanism: connected pension funds simultaneously accept worse contractual fee terms and forgo the donor-GP selection premium, a combination that is difficult to attribute to skill or familiarity and consistent with the connection itself being the object of value. The joint finding of higher contracted fees and lower net-of-fees performance is also a departure from the benchmark in Robinson and Sensoy (2013), in which higher-fee managers deliver commensurately higher gross performance.

Fees might also not be identical for every investor within the same PE fund: Begegnau and Siriwardane (2022) document substantial within-fund, across-investor variation in contracted fee terms, with most funds operating multiple fee tiers, which is consistent with connected pension funds entering the less favorable tier of otherwise identical funds. Including public pension fund fixed effects limits the comparison to PE funds invested in by the same pension funds, and the similarity of the main coefficients with and without these fixed effects suggests that within-fund fee variation does not play a significant role in my sample. Estimates for management fees, available for an even smaller subsample, are reported in Internet Appendix Table IA.11; they are small, negative, and statistically insignificant, which suggests that the extraction margin operates through performance-based rather than management fees, although the limited sample precludes strong inference.

5.5 Heterogeneity in Portfolio of Private Equity Funds

Another plausible explanation for the underperformance of connection-based investments is the ‘local asset’ story, in which PE funds might invest in assets located in the state of their connected politician as a consequence of receiving investments from the pension fund. Hochberg and Rauh (2013) demonstrate that public pension funds tend to overweight their PE investment portfolios towards GPs located in their home state, and this home-bias is negatively correlated with the investment performance of the pension funds. Thus, GPs with political connections might deploy their

fund capital more heavily toward the home-state assets of the connected politicians than other GPs who do not have such connections.

To calculate the portfolio weight of PE funds on assets located in the state of their connected politicians, I manually collect the data on the portfolio companies of PE funds from the Preqin portal, when available.²⁵ I focus on the headquarters of these portfolio companies and calculate the ratio of local assets, defined as the number of portfolio firms located in the home state of the public pension fund divided by the total number of portfolio firms at the given GP-public pension fund observation level. I refer to this measure as the *Home Asset Ratio*. For example, the Teacher Retirement System of Texas (Texas Teachers) invested in TA XIII, a buy-out fund, with TA Associates as its GP in 2019. TA XIII consisted of twenty-six portfolio firms, three of which were headquartered in Texas. In this case, I calculate the *Home Asset Ratio* between TA XIII and Texas Teachers as three divided by twenty-six, which equals approximately 12%.

The results in [Figure 4](#) suggest that the *Home Asset Ratio* is negatively correlated with the performance of PE funds, which is consistent with the results in Hochberg and Rauh (2013). I next examine whether PE funds with political connections to pension board members exhibit a higher *Home Asset Ratio* compared to other PE fund investments by the public pension funds in the same state that do not have such connections.

[Table 10](#) reports the estimates from the specification of [Eq. \(4\)](#) for the *Home Asset Ratio*. Columns 1, 3, and 5 present the results of a comparison of the *Home Asset Ratio* of PE fund investments by public pension funds within the same state, using the state fixed effects. To mitigate endogeneity concerns, I use the exogenous change of political connections from close elections within the sample of donating GPs. I find that PE funds connected to public pension fund board members have an additional *Home Asset Ratio* of 13 pp to 18 pp, compared to other PE funds without

²⁵Approximately 76% of the observations in my sample of close elections with ± 5 vote margins include data on the location of portfolio companies.

such connections. When comparing PE fund investments by the same public pension funds using the pension fund fixed effects, the treatment effects in columns 2, 4, and 6 remain consistent. The magnitude is economically significant, as the unconditional mean of the *Home Asset Ratio* is 6.2%.

The finding that PE firms with political connections to public pension fund board members allocate more capital to assets located in the state of the connected politician adds a connection-based channel to the home-bias pattern documented by Hochberg and Rauh (2013). This suggests a new channel for why public pension funds employ this type of investment strategy, in addition to the context of economically targeted investment (ETI) programs that might induce home-biased investments, and provides evidence that politicians' career-related incentives might drive these connection-based investment decisions (e.g., Shleifer (1996); Pennacchi and Rastad (2011); Dyck, Manoel, and Morse (2022)).

The home-state tilt shows the direction of the channel rather than its share of the return gap: the correlational elasticity of performance with respect to the *Home Asset Ratio*, about -5.7 pp per unit, indicates plausible economic relevance, but the fee and home-state channels are measured on different subsamples and are likely correlated, so their contributions are not separately identified and cannot be added. Data coverage does not drive this result: in the full performance sample, the availability of portfolio-company location data is not significantly related to connection status at conventional levels, and every connection-based commitment in the sample has location data.

6. Robustness

To demonstrate the robustness of my results, I complement the local randomization approach used in the main analysis, in which close elections are treated as approximately randomly assigned within a narrow window (Cattaneo, Frandsen, and Titiunik (2015)), with a continuity-based regression discontinuity analysis around the

electoral threshold; both approaches rely on the assumption that close elections involve inherent uncertainty with no systematic sorting of candidates (Lee, Moretti, and Butler (2004); Lee (2008); Eggers et al. (2015)). Graphically, binned means of $\mathbb{1}\{\text{Investment}\}$ by margin of victory or defeat show a significant discontinuity at the threshold in the group of state officials who influence the board composition, and no sign of a discontinuity for offices without such influence (Figure IA.6, bin widths of 0.5 and 0.25 pp). Local linear estimates following Calonico, Cattaneo, and Titiunik (2014), with mean square error-optimal bandwidths (Calonico, Cattaneo, and Farrell (2018)) as well as 75% and 125% variants, triangular and rectangular kernels, and the same fixed effects as Eq. (2), confirm the pattern: the differences are economically and statistically significant in the subsample where the office sought by the connected politician is assigned as or appoints a board member of the pension fund, and are robust to bandwidth choice (Internet Appendix Table IA.13).

I next examine an alternative explanation for the connection-based investment pattern documented in Section 4.1: the pattern could be a mechanical outcome if connected politicians who influence the board simply increase the fund’s overall allocation to PE. I estimate Eq. (2) using the annual portfolio allocation weights (%) in PE during the ten years after the election year across different ranges of vote margins. Internet Appendix Table IA.1 shows no significant differences in allocation weight between public pension funds with political connections and those without, indicating that an increased allocation to PE assets does not explain the observed influence of political connections on investment decisions in funds of connected GPs.

Mean reversion in GP performance. A potential concern with the performance results is mean reversion: if GPs that donate to politicians performed unusually well before donating, their subsequent funds could underperform mechanically. Two pieces of evidence indicate that mean reversion does not drive the results. First, the literature documents that buyout fund performance persistence largely disappears once conditioning on the information available at fundraising, while persistence is concentrated among bottom-quartile managers (Harris et al. (2023); Braun, Jenkinson,

and Stoff (2017)). Second, Internet Appendix Table IA.3 re-estimates Eq. (4) controlling directly for the final net IRR of the GP’s most recent prior fund. The interaction coefficient remains negative and statistically significant in every specification, ranging from -3.4 pp to -7.6 pp.

Repeat relationships between pension funds and GPs. LP-GP relationships are sticky, and pension funds tend to reinvest in successor funds of incumbent GPs (Sensoy, Wang, and Weisbach (2014); Korteweg, Panageas, and Systla (2024)), so the control group of non-connected commitments could include relationship-driven reinvestments. Internet Appendix Table IA.4 restricts the sample to first-time relationships, excluding any commitment in which the pension fund had invested in an earlier fund of the same GP. The underperformance of connection-based commitments is larger in this subsample, between -11.1 pp and -13.5 pp, indicating that the effect is concentrated precisely where the political connection, rather than an existing investment relationship, opens the door.

Ideological alignment. Recent work documents that pension systems tilt toward asset managers with shared political ideology and that ideologically aligned selection predicts lower performance (Siriwardane, Tang, and Vallée (2025)). If connected GPs are simply ideologically aligned with the states of their connected politicians, alignment rather than a quid pro quo could explain the results. I construct a GP-state ideological alignment measure by scoring each GP with the donation-weighted ideology of all candidates it funds, using DIME recipient scores (Bonica (2014)), and matching it to the partisan lean of each state. Tables 5 and IA.5 show that controlling for alignment, and for its interaction with electoral outcomes, leaves both the selection effect and the performance effect essentially unchanged, while alignment itself carries the negative performance association documented in prior work. The alignment measure is available for every connection-based commitment in the sample (14 of 14 selection events and all treated performance funds carry non-imputed scores), so the control binds exactly where it must. The connection effect I identify is therefore distinct from ideological homophily.

Why elections are close. Elections may be close for endogenous reasons; for example, an incumbent presiding over a weak state economy may face a close race while local investments underperform for reasons unrelated to connections. To address this concern, I use candidate status records to classify close races by whether an incumbent is present. [Table 6](#) shows that the connection effect is concentrated in open-seat races, in which both candidates are newcomers and closeness cannot reflect an incumbent’s performance, with an effect of 6.5 pp, while the effect in incumbent races is small and insignificant. This pattern is the opposite of what the incumbent-in-a-weak-state confound would predict.

Governance structure and other checks. The results are not driven by the small number of pension funds governed by a sole fiduciary rather than a board: excluding sole-fiduciary funds, the selection effect is 4.1 pp and statistically significant (Internet Appendix [Table IA.6](#)). The effect is present for both gubernatorial and down-ballot offices, with a larger but statistically indistinguishable point estimate for down-ballot offices (Internet Appendix [Table IA.7](#)), consistent with contributions being more salient in smaller races. Finally, the roughly five percent of GPs that hedge by donating to both candidates in the same race, which the main analysis excludes, receive commitments at more than twice the rate of single-side donors in close races, consistent with hedged donations securing a connection to the winner regardless of the electoral outcome.

6.1 Small-Sample and Design-Based Inference

The identifying variation in this paper is rare by construction: commitments are infrequent events, and the treated cells behind the headline estimates are small. I therefore complement the cluster-robust inference reported throughout with exact and randomization-based tests that do not rely on asymptotic approximations, and I disclose the treated counts on which each estimate rests (Young (2019); Cat-

taneo, Frandsen, and Titiunik (2015); MacKinnon and Webb (2017)). Internet Appendix Table IA.10 summarizes the results.

For the selection result, the sharpest statement uses no regression at all. Among close-election cells in which the office confers a pension board seat, 14 of 280 GP-candidate-pension observations on the winning side result in a commitment, against 2 of 387 on the losing side; the Fisher exact test rejects independence at the 1% level, with an odds ratio of ten. Randomization inference that reassigns the winner within each close race leaves the regression coefficient significant at the 10% level. The treated events are geographically concentrated: California accounts for 51% of the exposure cells but 86% of the events. Two observations discipline this concentration. First, California is where the capital is: it hosts the largest public pension systems in the country, holds the most close down-ballot races, and is home to the largest number of GPs, so exposure-weighted concentration is expected, although the event share exceeds the exposure share. Second, randomization inference using only within-California variation, which cannot reflect a California level effect, leaves the coefficient significant at the 10% level. Widening the window to a ± 10 pp vote margin with linear vote-margin controls nearly triples the number of commitment events to 38 and leaves the coefficient essentially unchanged at 4.6 pp and significant at the 5% level; the commitment rate for connected winners in the 5 to 10 pp band (7.4%) is as high as in the closest races, indicating that the effect is not an artifact of the narrowest window.

For the performance result, I first sharpen the specification following the structure of Eq. (2): including a Donated $\times$ Winner control restricts the comparison group to funds of donating GPs whose candidate won a close race but whose office does not confer a board seat, the counterfactual that isolates the board seat from the electoral outcome itself. Against this comparison group, connection-based commitments underperform by 9.3 pp at the ± 5 pp margin and 8.6 pp at the ± 10 pp margin, where the latter rests on 22 treated funds held by five pension systems in four states (Internet Appendix Table IA.9). These estimates exceed the baseline 4.2 pp to 7.1 pp range because the two specifications adjust the same underlying difference differently: in

raw means, connection-based funds return 7.8%, against 16.8% for donated funds of winning non-board candidates and 17.3% for all donated funds, a gap of roughly 9 pp against either benchmark, of which the baseline fixed-effects estimates are the more conservative adjustment. Randomization inference that relabels which of each pension fund's holdings carry the connection label leaves both estimates significant at the 5% level, and the jackknife cluster-robust variance estimator recommended for settings with few treated clusters leaves the baseline specification significant at the 1% level. Because the same PE fund can appear in several pension funds' portfolios, I also collapse the sample to one observation per fund, which removes any mechanical correlation from repeated funds; the estimates are -11.5 pp at the ± 10 pp margin, significant at the 1% level, and -17.9 pp at the ± 5 pp margin, significant at the 10% level, where only nine treated funds remain. This collapse also subsumes the dependence that two-way clustering by state and fund would address, since no fund appears more than once. The estimates are also insensitive to geography: excluding any single treated state from the sample, including New York, the state behind the motivating example, moves the baseline estimate only between -5.2 pp and -6.9 pp. Finally, the treated commitments underlying the performance and mechanism results are concentrated in the pre-regulation regime by construction: the treated funds have vintages between 2003 and 2011, arising from election cycles between 2002 and 2010, so the favoritism documented here describes the era before pay-to-play regulation, consistent with the policy test in [Section 7](#).

Rank-based tests complete the picture. Within their own state, vintage, and fund type cells, connection-based funds sit near the 65th percentile of the return distribution, statistically indistinguishable from other funds; the funds of donating GPs occupy similar ranks but earn substantially higher mean returns, reflecting a right tail of highly successful funds that connection-based commitments miss. The evidence is therefore inconsistent with connected commitments destroying capital in absolute terms, and consistent with the interpretation maintained throughout: the connection forfeits the selection premium that donor GPs' funds otherwise deliver. I do not re-

port a permutation scheme stratified on the exact fixed-effect cells of the ten baseline treated funds, which has no power by construction, or wild-cluster bootstrap procedures, which were numerically unstable with treatment concentrated in three to four states; the jackknife estimator is designed for that situation.

7. A Policy Test: SEC Rule 206(4)-5

If the connection-based investments I document reflect a quid pro quo operating through campaign contributions, then a regulation that severs the link between contributions and pension mandates should eliminate the effect. SEC Rule 206(4)-5, adopted in 2010 with a compliance date in 2011, prohibits investment advisers from receiving compensation from a government client for two years after making a covered contribution to an official who can influence the selection of advisers, a definition that maps directly onto the elected offices that hold or appoint pension board seats in my setting. The rule therefore provides a policy-based prediction: the effect of winning a board-linked office on connected GPs' commitments should attenuate for elections after 2011.

[Table 11](#) presents this test. In elections before 2011, GPs connected to a winning candidate whose office confers a pension board seat are 5.3 pp more likely to receive a commitment from the corresponding pension fund. In elections after 2011, the point estimate is -0.3 pp, an economically negligible magnitude relative to the 5.3 pp pre-2011 effect, and the pooled interaction of the connection effect with the post-2011 indicator is -6.0 pp and statistically significant. Internet Appendix [Table IA.12](#) reports the underlying investment rates by group, at the GP-candidate-pension fund level used throughout the selection analysis. Before 2011, 14 of 220 cells in which the connected candidate won an office conferring a board seat result in a commitment, a rate of 6.4%; after 2011, the corresponding count is 0 of 60. This pattern is difficult to reconcile with the benign interpretations of the board-composition evidence,

because familiarity, skill, or local development motives should not respond to a rule that penalizes only compensated contribution relationships.

Two caveats apply. Commitments decline in the later sample period for all groups, reflecting both market conditions and reporting lags in Preqin. Internet Appendix [Table IA.12](#) therefore also reports the placebo groups: investment rates for GPs that donated to losing candidates and for GPs connected to offices without board influence decline by between 53% and 80% after 2011, far short of the complete disappearance among connected winners. The post-2011 sample of close board-linked races is also modest, so the test has limited power to detect small residual effects. The federal rule was also not the first restriction of this kind: the New York Comptroller's office adopted a two-year contribution-linked investment ban in April 2009 following the scandal described above, and the largest California systems adopted placement-agent reforms in 2009 and 2010. This staggered timing does not contaminate the comparison, because all but one of the commitment events in my estimation windows arise from elections held in 2008 or earlier, before any of these reforms; the pre-period therefore measures behavior under the unregulated regime, and the post-2011 absence of connection-based commitments reflects the combined force of the state and federal pay-to-play restrictions rather than the federal rule alone. The registration expansion under the Dodd-Frank Act in 2012 further broadened the set of PE advisers subject to the rule; because all of these changes operate in the same direction, the wedge identifies the arrival of the pay-to-play regulatory regime rather than any single provision.

The attenuation of the effect after 2011 does not imply that the question has lost its relevance. First, the rule's effectiveness is itself the sharpest evidence for the mechanism: an intervention that penalizes only compensated contribution relationships eliminated the documented effect, which is the response the quid pro quo interpretation predicts and the benign interpretations do not. Second, the rule targets the observable marker of the connection rather than the connection itself. Covered contributions and payments to unregulated placement agents fall within the rule, but

ordinary gifts, charitable donations, and independent expenditures do not constitute covered contributions absent circumvention,²⁶ and the largest benefits in the Hevesi case, the luxury trips, took precisely such a non-contribution form. The practice the rule targets has also persisted despite repeated enforcement: the SEC has brought enforcement actions under the rule continually since the first in 2014, including a ten-firm sweep in January 2017 and settlements as recently as 2024.²⁷ Third, the estimates price the unregulated regime: a cost of 4.2 pp to 7.1 pp of net return per year on each connected commitment is the magnitude at stake wherever comparable provisions are absent, unenforced, or out of reach, including public asset pools outside the rule’s adviser-registration perimeter and jurisdictions without pay-to-play restrictions.

8. Conclusion

This paper provides causal evidence of the effect of political connections on the investment decisions of public pension funds in PE markets, and examines how these investment decisions affect fund performance. To explore this relationship, I focus on close elections for state officials, who comprise about one-third of public pension fund board members and influence the fund’s investment decisions. I exploit the quasi-random assignment of political connections between GPs and public pension funds that arises from the close elections.

Employing close state elections, I find that the post-election likelihood of public pension funds investing in GPs is significantly higher for GPs connected to a winning politician who is assigned as a board member for a given public pension fund, compared to other GPs. I then examine the impact of political connections on the investment performance of public pension funds in the PE market during

²⁶17 CFR §275.206(4)-5. The rule reaches covered associates’ contributions to officials who can influence adviser selection and payments to unregulated third-party solicitors; its anti-indirection clause captures gifts or donations used to circumvent the ban, but such conduct is harder to observe.

²⁷In re TL Ventures Inc. (2014), the first action under the rule, involved advisory fees from Pennsylvania state and Philadelphia city pension clients within the two-year timeout; the January 2017 sweep settled with ten advisory firms; four advisers settled in September 2022; and Wayzata Investment Partners settled in April 2024 over a contribution to a Minnesota State Board of Investment member.

the politician's term. I find that such connection-based PE funds underperform relative to non-connection-based PE funds in which public pension funds invest. These findings consistently show that connected politicians' incentives to uphold their fiduciary duty are dominated by their incentives for personal gains (e.g., Shleifer and Vishny (1993); Andonov, Hochberg, and Rauh (2018)).

My findings suggest that political connections have the potential to distort investment decisions in public pension funds. The presence of severe asymmetric information may create incentives for politicians to influence public pension funds, resulting in suboptimal investment decisions that undermine fund returns for plan participants. The magnitudes are economically meaningful: the estimates imply that every dollar committed through a connection forgoes roughly four to seven cents of net return per year relative to comparable funds of donating GPs, and a single connection-based commitment, such as the \$250 million Markstone investment, can erase returns on a scale that dwarfs the donations that mark the connection. The policy implication of my evidence is not that additional restrictions are self-evidently required. Rather, the results on SEC Rule 206(4)-5 indicate that a well-designed pay-to-play rule measurably curtailed connection-based commitments, and the pre-2011 experience documents what is at stake for the \$5.3 trillion in assets held by public pension funds and the 27 million pension participants when such provisions are absent or unenforced.²⁸

²⁸The data are from the Public Plans Database provided by the Center for Retirement Research at Boston College.

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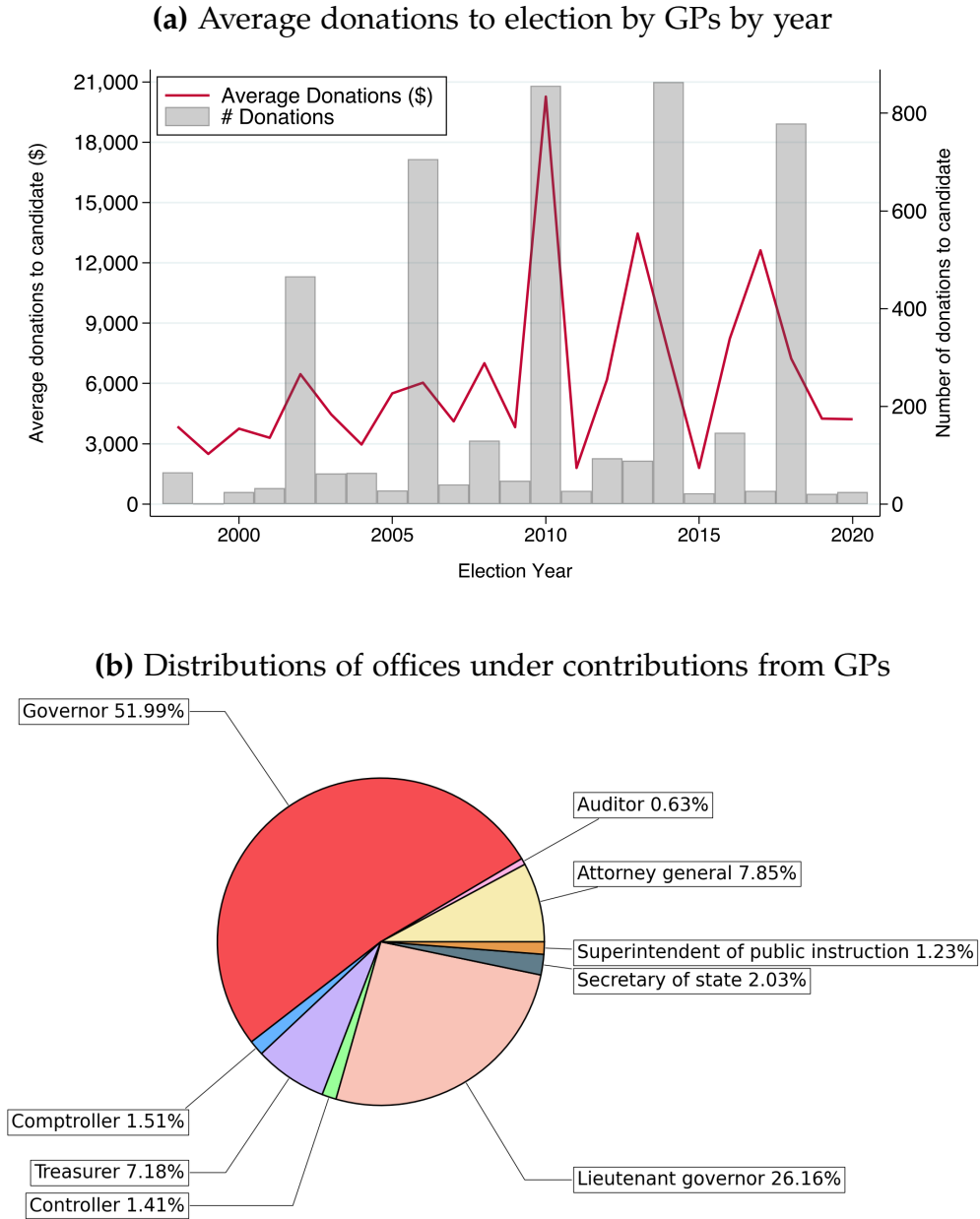
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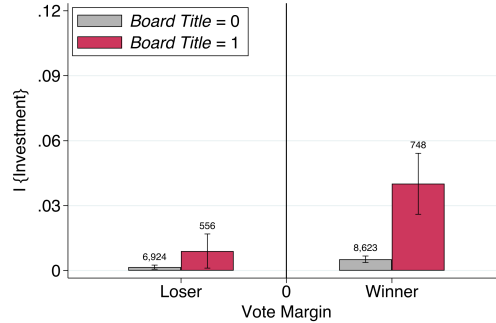
Figure 1. Time series and distributions of political contributions



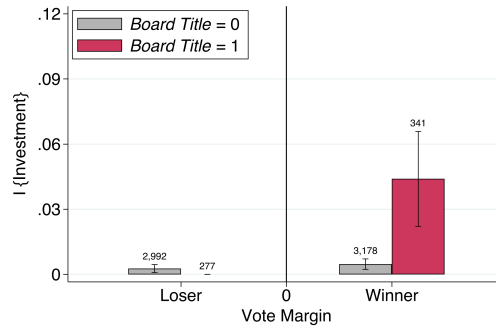
Panel (A) presents the average donation (left y-axis) and the number of donations (right y-axis) made by GPs to state election candidates over time. Panel (B) illustrates the distribution of state election candidates receiving donations from GPs using a pie chart, categorized by office type.

Figure 2. Investment decisions: Board Member heterogeneity

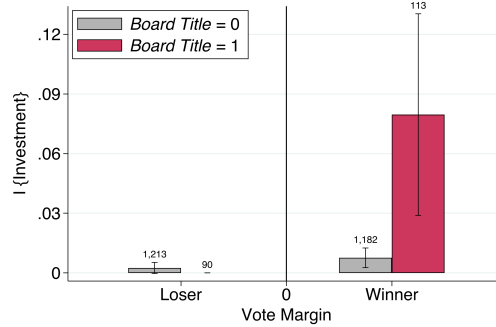
(a) Vote margin = (-5 pp, +5 pp)



(b) Vote margin = (-3 pp, +3 pp)



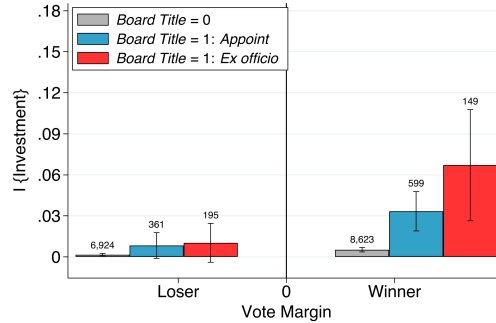
(c) Vote margin = (-1 pp, +1 pp)



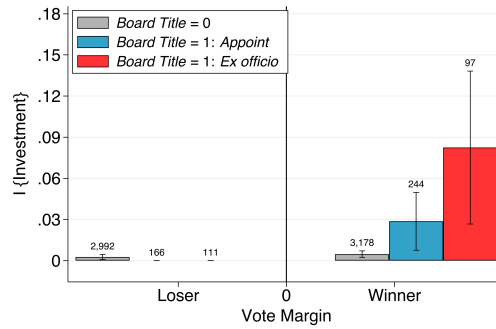
These graphs show the average values of $\mathbb{1}\{Investment\}$ variable with 95 percent confidence intervals. When calculating group means, I split candidates by *Winner* variable. For each *Winner* group, I then split observations by $\mathbb{1}\{Board Member\}$ group, defined in [Section 3](#). Among the bars positioned above or below the zero vote margin, the right bar represents the office position that either appoints or is assigned as a pension board member, while the left bar represents all other cases. The label on top of each bar represents the number of observations in each sample. Panel (A), (B), and (C) present values for close elections with vote margins of 5 pp, 3 pp, and 1 pp, respectively.

Figure 3. Investment decisions: Board member heterogeneity

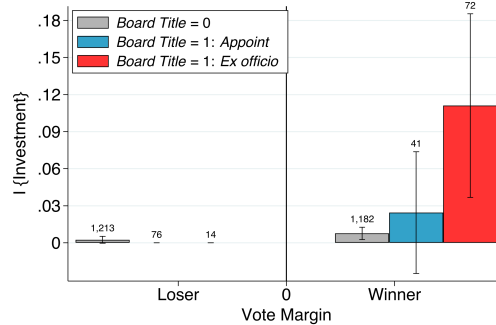
(a) Vote margin = (-5 pp, +5 pp)



(b) Vote margin = (-3 pp, +3 pp)

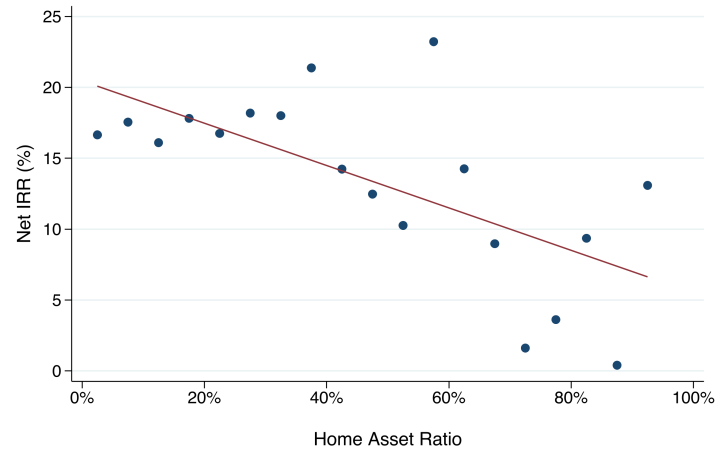


(c) Vote margin = (-1 pp, +1 pp)



These graphs show the average values of $1\{Investment\}$ variable with 95 percent confidence intervals. When calculating group means, I split candidates by *Winner* variable. For each *Winner* group, I then split observations by $1\{Board Member\}$ group, defined in [Section 3](#). Among the bars positioned above or below the zero vote margin, the rightmost bar represents the office position that is assigned as a pension board member, and the middle bar represents positions that appoint a board member. The leftmost bar represents all other cases. The label on top of each bar represents the number of observations in each sample. Panel (A), (B), and (C) present values for close elections with vote margins of 5 pp, 3 pp, and 1 pp, respectively.

Figure 4. Local assets and Performance



This figure shows the average net IRR (%) of PE funds, by the *Home Asset Ratio* value, which is defined as the number of portfolio firms located at the given pension fund's home state divided by the total number of portfolio firms at the given public pension fund - PE fund observation level.

Table 1. Summary Statistics

	Mean	Median	Sd	N
Panel A: Vote margin of (-5 pp, +5 pp)				
GP-Candidate-Pension-Election Level				
<i>Contribution (\$)</i>	6,949.617	2,000.000	21,905.507	16,851
<i>1{Investment}</i>	0.005	0.000	0.073	16,851
<i>1{Board Title}</i>	0.077	0.000	0.267	16,851
<i>1{Ex-Officio}</i>	0.020	0.000	0.141	16,851
<i>1{Appoint}</i>	0.057	0.000	0.232	16,851
<i>Ratio{Ex-Officio}</i>	0.003	0.000	0.037	16,851
<i>Ratio{Appoint}</i>	0.028	0.000	0.129	16,851
<i>Winner</i>	0.556	1.000	0.497	16,851
Pension-GP-PE fund Level				
<i>Net IRR (%)</i>	16.826	15.155	15.720	11,232
<i>Home Asset Ratio</i>	0.062	0.000	0.142	14,579
<i>Carry Rate (%)</i>	19.762	20.000	3.491	5,812
GP-Candidate-Pension-Year Level				
<i>Plan Funded Ratio</i>	0.722	0.756	0.182	104,855
<i>Plan Investment Return</i>	0.079	0.077	0.103	70,089
GP-Candidate-Election Level				
<i>GP Age</i>	18.974	15.000	20.396	1,024
<i>GP AUM (\$mil)</i>	371.056	0.000	1,435.893	1,088
<i>GP Buyout Ratio</i>	0.200	0.000	0.559	1,144
<i>Home GP</i>	0.399	0.000	0.490	1,144
Panel B: Vote margin of (-3 pp, +3 pp)				
GP-Candidate-Pension-Election Level				
<i>Contribution (\$)</i>	5,424.687	1,800.000	22,944.195	6,788
<i>1{Investment}</i>	0.006	0.000	0.075	6,788
<i>1{Board Title}</i>	0.091	0.000	0.288	6,788
<i>1{Ex-Officio}</i>	0.031	0.000	0.172	6,788
<i>1{Appoint}</i>	0.060	0.000	0.238	6,788
<i>Ratio{Ex-Officio}</i>	0.004	0.000	0.028	6,788
<i>Ratio{Appoint}</i>	0.031	0.000	0.141	6,788
<i>Winner</i>	0.518	1.000	0.500	6,788
Pension-GP-PE fund Level				
<i>Net IRR (%)</i>	16.828	15.200	15.727	11,200
<i>Home Asset Ratio</i>	0.062	0.000	0.142	14,541
<i>Carry Rate (%)</i>	19.761	20.000	3.493	5,805
GP-Candidate-Pension-Year Level				
<i>Plan Funded Ratio</i>	0.743	0.765	0.160	51,454
<i>Plan Investment Return</i>	0.081	0.075	0.100	33,584
GP-Candidate-Election Level				
<i>GP Age</i>	18.322	13.000	19.398	469
<i>GP AUM (\$mil)</i>	317.461	0.000	879.044	497
<i>GP Buyout Ratio</i>	0.182	0.000	0.471	522
<i>Home GP</i>	0.387	0.000	0.488	522

Panel C: Votes margin of (-1 pp, +1 pp)

GP-Candidate-Pension-Election Level				
<i>Contribution</i> (\$)	4,000.636	2,000.000	6,678.503	2,598
$\mathbb{1}\{Investment\}$	0.008	0.000	0.090	2,598
$\mathbb{1}\{Board\ Title\}$	0.078	0.000	0.268	2,598
$\mathbb{1}\{Ex\text{-}Officio\}$	0.033	0.000	0.179	2,598
$\mathbb{1}\{Appoint\}$	0.045	0.000	0.207	2,598
<i>Ratio</i> { <i>Ex-Officio</i> }	0.004	0.000	0.025	2,598
<i>Ratio</i> { <i>Appoint</i> }	0.023	0.000	0.112	2,598
<i>Winner</i>	0.498	0.000	0.500	2,598
Pension-GP-PE fund Level				
<i>Net IRR</i> (%)	16.827	15.200	15.728	11,197
<i>Home Asset Ratio</i>	0.062	0.000	0.142	14,519
<i>Carry Rate</i> (%)	19.761	20.000	3.495	5,799
GP-Candidate-Pension-Year Level				
<i>Plan Funded Ratio</i>	0.745	0.773	0.179	35,374
<i>Plan Investment Return</i>	0.083	0.084	0.099	22,258
GP-Candidate-Election Level				
<i>GP Age</i>	17.384	14.000	17.285	219
<i>GP AUM</i> (\$mil)	316.613	0.000	823.080	238
<i>GP Buyout Ratio</i>	0.235	0.000	0.527	247
<i>Home GP</i>	0.510	1.000	0.501	247

This table provides the summary statistics. *Contribution* is the amount of a political contribution from a GP to a candidate. $\mathbb{1}\{Investment\}$ is an indicator variable equal to 1 if the GP get investment from the pension fund during upcoming office term. $\mathbb{1}\{Board\ Title\}$ is an indicator equal to 1 if the title of office that candidate runs for obtains or assigns a board membership of the public pension funds by virtue of holding the title. $\mathbb{1}\{Ex\ officio\}$ is an indicator equal to 1 if the title of office that candidate runs for is assigned as a board member of the public pension funds by virtue of holding the title. $\mathbb{1}\{Appoint\}$ is an indicator equal to 1 if the title of office that candidate runs for appoints a delegate as a board member of the public pension funds by virtue of holding the title. *Ratio*{*Ex officio*}

Table 2. Difference in Characteristics of GPs and Pensions

Vote Margin:	Full sample	(-5 pp, +5 pp)	(-3 pp, +3 pp)	(-1 pp, +1 pp)
	(1)	(2)	(3)	(4)
<i>GP AUM</i>	-0.109 (0.126)	0.555* (0.330)	-0.051 (0.295)	-0.148 (0.324)
<i>GP Age</i>	0.015 (0.057)	0.004 (0.116)	-0.136 (0.190)	-0.140 (0.225)
<i>GP Buyout Ratio</i>	-0.037* (0.021)	0.043 (0.060)	-0.111* (0.059)	-0.077 (0.068)
<i>Home GP</i>	0.015 (0.037)	-0.016 (0.049)	0.027 (0.052)	0.004 (0.074)
<i>Plan Investment Return</i>	0.001 (0.001)	0.005* (0.003)	-0.001 (0.004)	0.001 (0.002)
<i>Plan Funded Ratio</i>	0.003 (0.006)	0.006 (0.006)	0.006 (0.008)	-0.005 (0.005)

Each entry comes from a separate regression. This table reports the main coefficients (β_1) from the estimation of Eq. (1) on predetermined observables. *Plan Funded Ratio* is ratio of a public pension fund's actuarial assets to its actuarial liabilities and *Plan Investment Return* is the annual investment return of public pension funds during the previous five years before the given election year. *GP Age* is the difference between the year and establishment year of the GP. *GP AUM* is the aggregate size of PE funds raised during the previous five years. *GP Buyout Ratio* is the proportion of buyout funds relative to all PE funds raised by the GP in the past five years. *Home GP* is an indicator equal to 1 if the GP is located in the same state as the election state. Column 1 uses full sample of state elections. For the specifications on *GP AUM* and *GP Age*, I use Poisson regression models. Columns 2, 3, and 4 use state elections of votes margin ± 5 pp, ± 3 pp, and ± 1 pp, respectively. Standard errors are clustered at the state level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table 3. Investment Decisions by Board Member Heterogeneity

Dependent Variable:	$\mathbb{1}\{\text{Investment}\}$			
Vote Margin:	Full sample	(-5 pp, +5 pp)	(-3 pp, +3 pp)	(-1 pp, +1 pp)
	(1)	(2)	(3)	(4)
Panel A: Effects of $\mathbb{1}\{\text{Board Title}\}$				
<i>Winner</i>	0.000 (0.001)	0.007*** (0.002)	0.002 (0.002)	-0.004 (0.005)
<i>Winner</i> $\times$ $\mathbb{1}\{\text{Board Title}\}$	0.006 (0.008)	0.030** (0.014)	0.045** (0.020)	0.079*** (0.019)
$\mathbb{1}\{\text{Board Title}\}$	0.021*** (0.006)	0.009* (0.005)	-0.001 (0.004)	0.009 (0.010)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	± 5	± 3	± 1
R ²	0.015	0.021	0.026	0.046
Observations	60,860	16,851	6,785	2,594
Dep. Var. Mean	.008	.005	.006	.008
Panel B: Heterogeneity in $\mathbb{1}\{\text{Board Title}\}$				
<i>Winner</i>	0.000 (0.001)	0.006*** (0.002)	0.002 (0.002)	-0.001 (0.004)
<i>Winner</i> $\times$ $\mathbb{1}\{\text{Ex officio}\} (\beta_1)$	0.033** (0.013)	0.047** (0.020)	0.078*** (0.026)	0.104*** (0.008)
<i>Winner</i> $\times$ $\mathbb{1}\{\text{Appoint}\} (\beta_2)$	-0.003 (0.005)	0.025* (0.013)	0.029* (0.014)	0.035 (0.035)
$\mathbb{1}\{\text{Ex officio}\}$	0.015*** (0.003)	0.009*** (0.003)	-0.001 (0.003)	-0.003** (0.001)
$\mathbb{1}\{\text{Appoint}\}$	0.023*** (0.008)	0.008 (0.007)	-0.004 (0.006)	0.003 (0.008)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	± 5	± 3	± 1
F-test: $\beta_1 = \beta_2$	0.017	0.304	0.099	0.082
R ²	0.016	0.022	0.031	0.049
Observations	60,860	16,851	6,785	2,594
Dep. Var. Mean	.008	.005	.006	.008

Panel A of this table presents coefficient estimates from Eq. (2) at various close state elections of vote margins. Panel B presents coefficient estimates from Eq. (3). $\mathbb{1}\{\text{Investment}\}$ is an indicator equal to 1 if the GP get investment from the pension fund during upcoming office term. $\mathbb{1}\{\text{Board Title}\}$ is an indicator equal to 1 if the title of office that candidate runs for obtains or assigns a board membership of the public pension funds by virtue of holding the title. $\mathbb{1}\{\text{Ex officio}\}$ is an indicator equal to 1 if the title of office that candidate runs for is assigned as a board member of the public pension funds by virtue of holding the title. $\mathbb{1}\{\text{Appoint}\}$ is an indicator equal to 1 if the title of office that candidate runs for appoints a delegate as a board member of the public pension funds by virtue of holding the title. Standard errors are clustered at state level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table 4. Performance of PE funds

Panel A: Net internal rate of return (%)								
	Full sample		(-5%, +5%)		(-3%, +3%)		(-1%, +1%)	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
$1\{Donated\}$	1.584 (1.092)	1.776* (1.043)	7.033*** (1.935)	6.875*** (1.893)	8.507*** (2.134)	7.850*** (1.929)	8.852*** (1.922)	8.034*** (1.712)
$1\{Donated\} \times 1\{Connection\}$	-0.964 (2.096)	-0.455 (2.366)	-5.745*** (1.639)	-4.229*** (1.479)	-6.723*** (2.369)	-4.606** (2.209)	-7.061*** (2.171)	-4.784** (1.991)
State FE	Yes	No	Yes	No	Yes	No	Yes	No
Pension FE	No	Yes	No	Yes	No	Yes	No	Yes
Vintage FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
PE fund type FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Bandwidth(Donated)	± 100	± 100	± 5	± 5	± 3	± 3	± 1	± 1
R ²	0.281	0.295	0.283	0.298	0.284	0.298	0.284	0.298
Observations	11,457	11,427	11,231	11,200	11,199	11,168	11,196	11,165
Raw Dep. Var. Mean	16.761	16.761	16.826	16.826	16.828	16.828	16.827	16.827
Panel B: Market-adjusted performance								
Vote Margin:	(-5%, +5%)				(-3%, +3%)			
	TVPI (1)	KS-PME (2)	ln KS-PME (3)	D.Alpha (4)	TVPI (5)	KS-PME (6)	ln KS-PME (7)	D.Alpha (8)
$1\{Donated\}$	0.210** (0.085)	0.198*** (0.057)	0.160*** (0.047)	5.678*** (2.045)	0.085 (0.132)	0.053 (0.097)	0.055 (0.080)	7.377*** (1.639)
$1\{Donated\} \times 1\{Connection\}$	-0.424*** (0.066)	-0.318*** (0.052)	-0.308*** (0.043)	-6.164*** (1.683)	-0.272* (0.142)	-0.159 (0.096)	-0.193** (0.075)	-6.955*** (1.803)
State FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Vintage FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
PE fund type FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Bandwidth(Donated)	± 5	± 5	± 5	± 5	± 3	± 3	± 3	± 3
R ²	0.163	0.098	0.113	0.144	0.163	0.097	0.113	0.144
Observations	12,982	12,983	12,969	7,860	12,950	12,951	12,937	7,832
Dep. Var. Mean	1.68	1.083	.014	1.474	1.679	1.082	.014	1.462

This table presents coefficient estimates from Eq. (4) on the performance of PE funds in close state elections. Panel A reports net IRR (%) at various vote margins. Panel B reports market-adjusted performance measures computed from fund-level cashflows: the total value to paid-in multiple (TVPI), the Kaplan-Schoar public market equivalent (KS-PME), its natural logarithm, and the direct alpha (% per year) of Gredil, Griffiths, and Stucke (2023), using the CRSP value-weighted market return as the benchmark. Direct alpha is computed for funds that are resolved or have at least five years of cashflows and ten distributions, and all Panel B outcomes are winsorized at the 1st and 99th percentiles. $1\{Donated\}$ equals one if the PE fund is managed by a GP that made a campaign contribution to a candidate running in a close state election, and zero otherwise. $1\{Connected\}$ equals one if the politician the GP donated to sits on the board of the public pension fund as a result of the electoral outcome. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table 5. Performance results controlling for ideological alignment

	(1) net_irr_pcent	(2) net_irr_pcent	(3) net_irr_pcent	(4) net_irr_pcent	(5) net_irr_pcent	(6) net_irr_pcent
$\mathbb{1}\{Donated\}$	7.033*** (1.935)	6.590*** (1.933)	6.839*** (2.097)	8.507*** (2.134)	7.796*** (2.113)	7.820*** (2.155)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connection\}$	-5.745*** (1.639)	-5.829*** (1.662)	-5.781*** (1.785)	-6.723*** (2.369)	-6.578*** (2.382)	-6.310** (2.394)
<i>Aligned</i>		-0.408 (0.510)			-0.406 (0.511)	
<i>Alignment (cont.)</i>			-0.614* (0.311)			-0.626* (0.315)
Alignment control	None	Aligned	Continuous	None	Aligned	Continuous
Bandwidth(Donated)	± 5	± 5	± 5	± 3	± 3	± 3
R ²	0.283	0.285	0.286	0.284	0.285	0.286
Observations	11,231	11,231	11,231	11,199	11,199	11,199

This table presents coefficient estimates from [Eq. \(4\)](#) on the net IRR of PE funds, controlling for GP-state ideological alignment (with an indicator for GPs without an alignment score). $\mathbb{1}\{Donated\}$ equals one if the PE fund is managed by a GP that made a campaign contribution to a candidate running in a close state election, and zero otherwise. $\mathbb{1}\{Connected\}$ equals one if the politician the GP donated to sits on the board of the public pension fund as a result of the electoral outcome. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table 6. Connection effects in incumbent and open-seat races

Dependent Variable:	$\mathbb{1}\{\text{Investment}\}$		
	(1)	(2)	(3)
$Won \times \mathbb{1}\{Board\}$	0.0060 (0.0073)	0.0645*** (0.0176)	0.0107 (0.0100)
$Won \times \mathbb{1}\{Board\} \times Open\ seat$			0.0499*** (0.0159)
Sample	Incumbent in race	Open seat	Pooled
R ²	0.018	0.021	0.014
Observations	10,194	19,604	29,801

This table presents selection estimates separately for close races in which an incumbent is running and open-seat races, and pooled with an open-seat interaction. Incumbency status is from OurCampaigns candidate records. *Won* equals one if the candidate wins the close election. $\mathbb{1}\{Board\}$ equals one if the office the candidate runs for holds a seat on the public pension fund board by virtue of office. The sample is at the GP-candidate-pension fund level for close elections with a ± 5 pp vote margin, with state and election year fixed effects. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table 7. Future Election Seeker

Dependent Variable:	$\mathbb{1}\{\text{Investment}\}$			
Vote Margin:	Full sample	(-5 pp, +5 pp)	(-3 pp, +3 pp)	(-1 pp, +1 pp)
	(1)	(2)	(3)	(4)
Panel A: Future Election Seeker = 1				
<i>Winner</i>	0.001 (0.002)	0.006*** (0.002)	0.001 (0.002)	-0.006 (0.006)
<i>Winner</i> $\times$ $\mathbb{1}\{\text{Board Title}\}$	0.010 (0.006)	0.035** (0.016)	0.044** (0.020)	0.081*** (0.018)
$\mathbb{1}\{\text{Board Title}\}$	0.019*** (0.006)	0.006 (0.003)	-0.000 (0.006)	0.010 (0.010)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	± 5	± 3	± 1
R ²	0.014	0.027	0.029	0.045
Observations	53,004	13,789	5,323	2,520
Dep. Var. Mean	.008	.005	.006	.008
Panel B: Future Election Seeker = 0				
<i>Winner</i>	-0.003 (0.009)	0.008 (0.010)	0.016** (0.006)	0.024*** (0.000)
<i>Winner</i> $\times$ $\mathbb{1}\{\text{Board Title}\}$	-0.018 (0.019)	-0.022 (0.030)	-0.016** (0.006)	
$\mathbb{1}\{\text{Board Title}\}$	0.026* (0.016)	0.030 (0.031)	-0.005*** (0.001)	
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	± 5	± 3	± 1
R ²	0.032	0.028	0.021	0.053
Observations	7,853	3,059	1,460	73
Dep. Var. Mean	.008	.007	.005	.027

Panel A presents coefficient estimates from Eq. (2) on $\mathbb{1}\{\text{Investment}\}$ at various close state elections of votes margin from the subsample of politicians who run any elections again after the election. Similarly, Panel B shows the results from the subsample of politicians who do not run any election again after the election. *Future election seeker* is an indicator equal to one if the candidate run any election in the future, including primary, local, state, and federal elections. Standard errors are clustered at state level and are reported in parentheses. All variables are defined in Section 3 and the main text. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table 8. Investment Decision by State Convictions

Dependent Variable:	$1\{\text{Investment}\}$			
Vote Margin:	Full sample	(-5 pp, +5 pp)	(-3 pp, +3 pp)	(-1 pp, +1 pp)
	(1)	(2)	(3)	(4)
Panel A: States of High # Convictions of Public Corruption				
<i>Winner</i>	0.001 (0.002)	0.010*** (0.003)	0.001 (0.002)	-0.003 (0.007)
<i>Winner</i> $\times$ $1\{\text{Board Title}\}$	0.007 (0.011)	0.024 (0.015)	0.037* (0.020)	0.088** (0.023)
$1\{\text{Board Title}\}$	0.023*** (0.008)	0.014** (0.006)	0.004 (0.007)	0.009 (0.019)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	± 5	± 3	± 1
R ²	0.021	0.021	0.020	0.041
Observations	38,852	10,171	4,541	1,623
Dep. Var. Mean	.009	.006	.006	.011
Panel B: States of Low # Convictions of Public Corruption				
<i>Winner</i>	-0.000 (0.002)	0.005** (0.002)	0.007 (0.007)	0.000 (0.003)
<i>Winner</i> $\times$ $1\{\text{Board Title}\}$	0.003 (0.007)	0.032 (0.024)	0.037 (0.026)	0.035 (0.024)
$1\{\text{Board Title}\}$	0.018*** (0.005)	0.005 (0.008)	-0.000 (0.003)	0.004 (0.004)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	± 5	± 3	± 1
R ²	0.014	0.075	0.129	0.080
Observations	21,997	6,678	2,243	970
Dep. Var. Mean	.006	.004	.004	.003

This table presents coefficient estimates from Eq. (2) on $1\{\text{Investment}\}$ at various close state elections of votes margins. The regressions for Panel A use the subsample of states where the state-year level number of public corruption conviction per public employees is equal or above the sample median. The regressions for Panel B use the subsample of states where the state-year level number of public corruption conviction per public employees is lower than the sample median. Standard errors are clustered at state-election year level, and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table 9. PE Fund Fees

	(-5%, +5%)		(-3%, +3%)		(-1%, +1%)	
	(1)	(2)	(3)	(4)	(5)	(6)
$\mathbb{1}\{Donated\}$	0.192 (0.470)	0.230 (0.453)	0.836 (0.719)	0.802 (0.668)	1.724* (0.917)	1.646* (0.910)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connection\}$	2.029*** (0.666)	2.349*** (0.617)	1.397 (0.863)	1.780** (0.788)	0.535 (1.016)	0.956 (0.994)
State FE	Yes	No	Yes	No	Yes	No
Pension FE	No	Yes	No	Yes	No	Yes
Vintage FE	Yes	Yes	Yes	Yes	Yes	Yes
PE fund type FE	Yes	Yes	Yes	Yes	Yes	Yes
Bandwidth(Donated)	± 5	± 5	± 3	± 3	± 1	± 1
R ²	0.520	0.526	0.520	0.526	0.520	0.527
Observations	5,817	5,776	5,810	5,769	5,804	5,763
Raw Dep. Var. Mean	19.768	19.768	19.768	19.768	19.768	19.768

This table presents coefficient estimates from [Eq. \(4\)](#) on the carry rates (%) of PE funds at various close state elections of votes margin. $\mathbb{1}\{Donated\}$ is a dummy variable equal to one if the PE fund is under management of GP who made political contribution to candidate running at close state election, and zero otherwise. The $\mathbb{1}\{Connected\}$ is equal to one if the politician that GP donated in close state elections sits at the board of public pension as a result of the electoral outcome. Standard errors are clustered at pension fund level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table 10. Home Asset

	(-5%, +5%)		(-3%, +3%)		(-1%, +1%)	
	(1)	(2)	(3)	(4)	(5)	(6)
$\mathbb{1}\{Donated\}$	0.057*** (0.014)	0.060*** (0.013)	0.087*** (0.014)	0.087*** (0.014)	0.133*** (0.033)	0.140*** (0.033)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connection\}$	0.159*** (0.030)	0.160*** (0.032)	0.172*** (0.027)	0.183*** (0.027)	0.127*** (0.042)	0.130*** (0.043)
State FE	Yes	No	Yes	No	Yes	No
Pension FE	No	Yes	No	Yes	No	Yes
Vintage FE	Yes	Yes	Yes	Yes	Yes	Yes
PE fund type FE	Yes	Yes	Yes	Yes	Yes	Yes
Bandwidth(Donated)	± 5	± 5	± 3	± 3	± 1	± 1
R ²	0.268	0.298	0.268	0.299	0.268	0.298
Observations	14,578	14,543	14,540	14,505	14,518	14,483
Raw Dep. Var. Mean	.062	.062	.062	.062	.062	.062

This table presents coefficient estimates from Eq. (4) on *Home Asset Ratio* value of PE funds at various close state elections of votes margin. The *Home Asset Ratio* is the ratio of local assets as the number of portfolio firms located at the given pension fund's home state divided by the total number of portfolio firms at the given GP-public pension fund observation level. $\mathbb{1}\{Donated\}$ is a dummy variable equal to one if the PE fund is under management of GP who made political contribution to candidate running at close state elections, and zero otherwise. The $\mathbb{1}\{Connected\}$ is equal to one if the politician that GP donated in close state elections sits at the board of public pension as a result of the electoral outcome. Standard errors are clustered at state level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table 11. Political connections and commitments before and after SEC Rule 206(4)-5

Dependent Variable:	1 {Investment}		
	(1)	(2)	(3)
$Won \times \mathbb{1}\{Board\}$	0.0527** (0.0194)	-0.0026** (0.0011)	0.0534*** (0.0191)
$Won \times \mathbb{1}\{Board\} \times Post-2011$			-0.0602*** (0.0202)
Sample	Pre-2011	Post-2011	Pooled
R ²	0.015	0.001	0.013
Observations	19,718	18,913	38,632

This table presents estimates of the effect of a connected candidate winning a close election on the probability that the donating GP receives a commitment from the corresponding public pension fund, separately for elections before and after the 2011 compliance date of SEC Rule 206(4)-5 and pooled with a post-2011 interaction. Won equals one if the candidate wins the close election. $\mathbb{1}\{Board\}$ equals one if the office the candidate runs for holds a seat on the public pension fund board by virtue of office. The sample is at the GP-candidate-pension fund level for close elections with a ± 5 pp vote margin, with state and election year fixed effects. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Internet Appendix

Pay to Play: Political Connections and the Private Equity Investments of Public Pension Funds

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IA.1 Additional Figures and Tables

Table IA.1. PE Allocation

	Full sample	(-5pp, +5pp)	(-3pp, +3pp)	(-1pp, +1pp)
	(1)	(2)	(3)	(4)
<i>Winner</i>	-0.000 (0.001)	-0.002** (0.001)	-0.004*** (0.001)	-0.001 (0.000)
<i>Winner</i> $\times$ $1\{\text{Board Title}\}$	0.001 (0.001)	-0.001 (0.001)	0.002 (0.001)	-0.001 (0.002)
$1\{\text{Board Title}\}$	-0.001 (0.001)	0.002 (0.001)	-0.000 (0.001)	0.002 (0.002)
Controls	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Pension FE	Yes	Yes	Yes	Yes
Bandwidth (pp)	Full	± 5	± 3	± 1
R ²	0.772	0.804	0.787	0.763
Observations	391,555	104,995	51,576	35,442
Dep. Var. Mean	.08	.075	.074	.07

This table presents coefficient estimates from [Eq. \(2\)](#) on PE allocation (%) of public pension funds on various close state elections by vote margin. The control variables include asset size and fund ratio of pension funds. Standard errors are clustered at state-year level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table IA.2. Investment Decision by State Survey

Dependent Variable:	$1\{\text{Investment}\}$			
Vote Margin:	Full sample	(-5 pp, +5 pp)	(-3 pp, +3 pp)	(-1 pp, +1 pp)
	(1)	(2)	(3)	(4)
Panel A: States of High Corruption Survey Score				
<i>Winner</i>	0.001 (0.002)	0.008** (0.003)	-0.001 (0.005)	-0.003 (0.006)
<i>Winner</i> $\times$ $1\{\text{Board Title}\}$	0.016** (0.006)	0.026* (0.013)	0.045 (0.027)	0.091*** (0.018)
$1\{\text{Board Title}\}$	0.015** (0.006)	0.003* (0.002)	0.001 (0.003)	0.005 (0.010)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	± 5	± 3	± 1
R ²	0.012	0.013	0.022	0.046
Observations	35,544	10,303	4,383	2,488
Dep. Var. Mean	.008	.005	.007	.008
Panel B: States of Low Corruption Survey Score				
<i>Winner</i>	0.001 (0.002)	0.029* (0.014)	0.008 (0.007)	0.007** (0.002)
<i>Winner</i> $\times$ $1\{\text{Board Title}\}$	-0.024 (0.014)	-0.025 (0.025)	0.024 (0.017)	0.021 (0.030)
$1\{\text{Board Title}\}$	0.032* (0.017)	0.043 (0.029)	-0.006 (0.010)	0.021* (0.009)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	± 5	± 3	± 1
R ²	0.045	0.079	0.281	0.066
Observations	13,385	2,764	601	105
Dep. Var. Mean	.008	.005	.005	.018

This table presents coefficient estimates from Eq. (2) on $1\{\text{Investment}\}$ at various close state elections of votes margins. The regressions for Panel A use the subsample of states where the state corruption index from Boylan and Long (2003) is equal or above the sample median. The regressions for Panel B use the subsample of states where the state corruption index from Boylan and Long (2003) is lower than sample median. Standard errors are clustered at state-election year level, and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table IA.3. Performance of PE funds controlling for prior GP performance

	(1) net_irr_pcent	(2) net_irr_pcent	(3) net_irr_pcent	(4) net_irr_pcent	(5) net_irr_pcent	(6) net_irr_pcent
$\mathbb{1}\{Donated\}$	6.614*** (1.431)	6.482*** (1.459)	9.672*** (2.106)	9.035*** (1.980)	9.990*** (1.831)	9.222*** (1.731)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connection\}$	-4.659*** (1.354)	-3.414** (1.324)	-7.296*** (2.321)	-5.448** (2.275)	-7.607*** (2.075)	-5.629*** (2.053)
GP prior-fund IRR	0.167*** (0.031)	0.161*** (0.030)	0.167*** (0.031)	0.161*** (0.030)	0.167*** (0.031)	0.161*** (0.030)
Bandwidth(Donated)	± 5	± 5	± 3	± 3	± 1	± 1
R ²	0.303	0.315	0.303	0.315	0.303	0.315
Observations	11,231	11,200	11,199	11,168	11,196	11,165
Dep. Var. Mean	16.826	16.826	16.828	16.828	16.827	16.827

This table presents coefficient estimates from [Eq. \(4\)](#) on the net IRR of PE funds, controlling for the final net IRR of the GP's most recent prior fund (with an indicator for GPs without a prior fund). $\mathbb{1}\{Donated\}$ equals one if the PE fund is managed by a GP that made a campaign contribution to a candidate running in a close state election, and zero otherwise. $\mathbb{1}\{Connected\}$ equals one if the politician the GP donated to sits on the board of the public pension fund as a result of the electoral outcome. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table IA.4. Performance of PE funds: first-time LP-GP relationships

	(1) net_irr_pcent	(2) net_irr_pcent	(3) net_irr_pcent	(4) net_irr_pcent	(5) net_irr_pcent	(6) net_irr_pcent
$\mathbb{1}\{Donated\}$	10.988* (5.482)	10.774** (4.999)	13.262** (5.075)	12.893** (5.463)	14.025** (6.040)	13.605** (6.517)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connection\}$	-11.893** (4.822)	-11.145* (5.650)	-11.991* (6.331)	-12.837* (7.056)	-12.746* (7.225)	-13.545* (8.046)
Bandwidth(Donated)	± 5	± 5	± 3	± 3	± 1	± 1
R ²	0.225	0.240	0.225	0.240	0.225	0.240
Observations	4,686	4,634	4,672	4,620	4,671	4,619
Dep. Var. Mean	14.59	14.59	14.585	14.585	14.582	14.582

This table presents coefficient estimates from [Eq. \(4\)](#) on the net IRR of PE funds, restricting the sample to first-time relationships by excluding commitments in which the public pension fund invested in an earlier fund of the same GP. $\mathbb{1}\{Donated\}$ equals one if the PE fund is managed by a GP that made a campaign contribution to a candidate running in a close state election, and zero otherwise. $\mathbb{1}\{Connected\}$ equals one if the politician the GP donated to sits on the board of the public pension fund as a result of the electoral outcome. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table IA.5. Selection results controlling for ideological alignment

Dependent Variable:	$\mathbb{1}\{\text{Investment}\}$		
	(1)	(2)	(3)
$Won \times \mathbb{1}\{\text{Board}\}$	0.0406** (0.0194)	0.0402** (0.0193)	0.0397** (0.0193)
<i>Aligned</i>		0.0014 (0.0010)	
$Won \times \textit{Aligned}$		0.0008 (0.0016)	
<i>Alignment (cont.)</i>			0.0005 (0.0007)
$Won \times \textit{Alignment (cont.)}$			0.0010*** (0.0004)
Alignment controls	None	Aligned interactions	Continuous alignment
R ²	0.012	0.012	0.013
Observations	34,140	34,140	34,140

This table presents selection estimates controlling for GP-state ideological alignment. GP ideology is the donation-weighted mean DIME recipient score of all candidates the GP funds; state ideology is the state partisan lean. *Aligned* equals one if the GP and state lean toward the same party; the continuous measure is the product of standardized leans. *Won* equals one if the candidate wins the close election. $\mathbb{1}\{\text{Board}\}$ equals one if the office the candidate runs for holds a seat on the public pension fund board by virtue of office. The sample is at the GP-candidate-pension fund level for close elections with a ± 5 pp vote margin, with state and election year fixed effects. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table IA.6. Connection effects excluding sole-fiduciary pension funds

Dependent Variable:	$\mathbb{1}\{\text{Investment}\}$	
	(1)	(2)
$Won \times \mathbb{1}\{Board\}$	0.0406** (0.0193)	0.0616 (.)
Sample	Excl. sole-fiduciary	Sole-fiduciary only
R ²	0.011	0.041
Observations	38,616	16

This table presents selection estimates excluding public pension funds governed by a sole fiduciary (an office whose ex officio board representation equals one), and for the sole-fiduciary subsample. *Won* equals one if the candidate wins the close election. $\mathbb{1}\{Board\}$ equals one if the office the candidate runs for holds a seat on the public pension fund board by virtue of office. The sample is at the GP-candidate-pension fund level for close elections with a ± 5 pp vote margin, with state and election year fixed effects. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table IA.7. Connection effects by office type

Dependent Variable:	$\mathbb{1}\{\text{Investment}\}$		
	(1)	(2)	(3)
$Won \times \mathbb{1}\{Board\}$	0.0334** (0.0137)	0.0451* (0.0224)	0.0308** (0.0130)
$Won \times \mathbb{1}\{Board\} \times Down\text{-}ballot$			0.0134 (0.0153)
Sample	Governor/Lt.Gov	Down-ballot	Pooled
R ²	0.011	0.021	0.012
Observations	30,997	7,635	38,632

This table presents selection estimates separately for gubernatorial and lieutenant-gubernatorial races and for down-ballot offices, and pooled with a down-ballot interaction. *Won* equals one if the candidate wins the close election. $\mathbb{1}\{Board\}$ equals one if the office the candidate runs for holds a seat on the public pension fund board by virtue of office. The sample is at the GP-candidate-pension fund level for close elections with a ± 5 pp vote margin, with state and election year fixed effects. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table IA.8. Investment Decisions by Board Member Heterogeneity: Intensive Margin

	Full sample	(-5pp, +5pp)	(-3pp, +3pp)	(-1pp, +1pp)
	(1)	(2)	(3)	(4)
<i>Winner</i>	0.001 (0.001)	0.008*** (0.002)	0.004** (0.002)	0.002 (0.004)
<i>Winner</i> $\times$ <i>Ratio{Ex officio}</i> (β_1)	0.020 (0.060)	0.060 (0.053)	0.222 (0.191)	0.611* (0.312)
<i>Winner</i> $\times$ <i>Ratio{Appoint}</i> (β_2)	-0.008 (0.011)	0.032 (0.020)	0.022 (0.023)	0.014 (0.019)
<i>Ratio{Ex officio}</i>	0.085*** (0.013)	0.102*** (0.012)	0.123 (0.106)	0.020 (0.030)
<i>Ratio{Appoint}</i>	0.031** (0.013)	0.007 (0.010)	-0.006 (0.011)	-0.002 (0.007)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Bandwidth (pp)	Full	± 5	± 3	± 1
F-test: $\beta_1 = \beta_2$	0.653	0.627	0.310	0.085
R ²	0.012	0.017	0.020	0.035
Observations	60,860	16,851	6,785	2,594
Dep. Var. Mean	.008	.005	.006	.008

This table presents coefficient estimates from Eq. (3) on $1\{Investment\}$ at various close state elections of votes margin, using *Ratio{Ex officio}* and *Ratio{Ex officio}*. *Ratio{Ex officio}* is the ratio of the number of board members that the title of election is assigned as to the total number of board members. *Ratio{Appoint}* is the ratio of the number of board members that the title of election can appoint to the total number of board members. Standard errors are clustered at pension fund level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table IA.9. Performance of connection-based PE funds: alternative comparison group and widened window

Specification	Coef.	Cluster p	Permutation p	Treated funds	N
± 5 ex-officio	-9.313	0.000	0.044	9	11,232
± 10 ex-officio	-8.623	0.000	0.012	22	11,282
± 10 combined board	-2.743	0.381	0.233	37	11,282

This table presents estimates of the effect of a political connection on net IRR including Donated $\times$ Winner and Donated $\times$ vote margin controls, so that the comparison group is funds of donating GPs whose candidates won close races for offices without pension board seats. Rows report the baseline ± 5 pp window, the ± 10 pp window, and the ± 10 pp window with the combined ex-officio and appointment board definition. Cluster p -values use state-level clustering; permutation p -values are from randomization inference that relabels which of each pension fund's holdings carry the connection label (1,000 replications). Standard errors are clustered at the state level.

Table IA.10. Small-sample and design-based inference

Test	Statistic	<i>p</i> -value	Treated
Panel A: Selection (commitment probability)			
Fisher exact test, board-office cells, ± 5 pp (14/280 won vs 2/387 lost)	OR = 10.1	<0.001	14 events
Won $\times$ Board coefficient, ± 5 pp, state clustering	0.040	0.041	14 events
race-flip randomization inference		0.054	
within-California randomization inference	0.071	0.058	12 events
Won $\times$ Board, ± 10 pp with linear margin controls	0.046	0.050	38 events
Panel B: Performance (net IRR, vs donated funds of winning non-board candidates)			
Donated $\times$ Connection, ± 5 pp, state clustering	−9.31	<0.001	9 funds
within-portfolio randomization inference		0.044	
Donated $\times$ Connection, ± 10 pp, state clustering	−8.62	<0.001	22 funds
within-portfolio randomization inference		0.012	
CRV3 jackknife (few-cluster robust), baseline spec, ± 5 pp	−5.75	0.002	9 funds
leave-one-state-out, baseline spec, ± 5 pp	[−6.9, −5.2]		9 funds
one observation per fund, ± 10 pp	−11.55	0.002	22 funds
one observation per fund, ± 5 pp	−17.89	0.051	9 funds

This table summarizes exact and randomization-based inference for the selection and performance results. Panel A reports the Fisher exact test on commitment counts among board-office close-election cells, regression coefficients with state-clustered *p*-values, randomization inference that reassigns the winner within each close race (1,000 replications), and estimates from a ± 10 pp window with linear vote-margin controls interacted with treatment. Panel B reports performance specifications that include a Donated $\times$ Winner control, restricting the comparison group to funds of donating GPs whose candidates won close races for offices without board seats; randomization inference relabels which of each pension fund's holdings carry the connection label (1,000 replications). The CRV3 row applies the jackknife cluster-robust estimator to the baseline specification. The leave-one-state-out row reports the range of the baseline coefficient when each treated state is excluded in turn. Treated counts report the number of commitment events (Panel A) or distinct treated funds (Panel B) identifying each estimate. Standard errors cluster at the state level, with 41 state clusters in the selection sample, of which 14 contain treated cells, and 47 state clusters in the performance sample, of which 3 contain treated funds.

Table IA.11. Management fee rates of PE funds

	(-5%, +5%)		(-3%, +3%)	
	(1)	(2)	(3)	(4)
$\mathbb{1}\{Donated\}$	0.183*** (0.051)	0.186*** (0.051)	0.236*** (0.058)	0.231*** (0.062)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connection\}$	-0.009 (0.054)	-0.052 (0.056)		
State FE	Yes	No	Yes	No
Pension FE	No	Yes	No	Yes
Vintage FE	Yes	Yes	Yes	Yes
PE fund type FE	Yes	Yes	Yes	Yes
Bandwidth(Donated)	± 5	± 5	± 3	± 3
R ²	0.292	0.307	0.292	0.306
Observations	4,503	4,456	4,497	4,450
Raw Dep. Var. Mean	1.776	1.776	1.776	1.776

This table presents coefficient estimates from [Eq. \(4\)](#) on the management fee rates (%) of PE funds at close state elections. Management fee data are available for a smaller subsample than carry rates. $\mathbb{1}\{Donated\}$ equals one if the PE fund is managed by a GP that made a campaign contribution to a candidate running in a close state election, and zero otherwise. $\mathbb{1}\{Connected\}$ equals one if the politician the GP donated to sits on the board of the public pension fund as a result of the electoral outcome. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Table IA.12. Investment rates before and after SEC Rule 206(4)-5, by group

	Pre-2011			Post-2011		
	Invested	N	Rate (%)	Invested	N	Rate (%)
Board office, candidate won	14	220	6.36	0	60	0.00
Board office, candidate lost	1	123	0.81	1	264	0.38
Non-board office, candidate won	80	9,862	0.81	18	11,238	0.16
Non-board office, candidate lost	36	9,515	0.38	11	7,351	0.15

This table reports the number of GP-candidate-pension fund observations that result in a postelection commitment (Invested), the number of observations (N), and the investment rate, for close state elections with a ± 5 pp vote margin, separately for elections before and after the 2011 compliance date of SEC Rule 206(4)-5. Board office indicates that the office the candidate runs for holds a seat on the public pension fund board by virtue of office.

Table IA.13. Local Linear Regression

Dependent Variable:	$\mathbb{1}\{\text{Investment}\}$		
Sample:	Full sample (1)	$\mathbb{1}\{\text{Board Title}\}=0$ (2)	$\mathbb{1}\{\text{Board Title}\}=1$ (3)
Panel A: Coefficients of <i>Won</i> (triangular kernel)			
Optimal bandwidth	0.010*** (0.000)	0.002 (0.004)	0.051*** (0.002)
Observations	8,238	2,047	2,294
75% Optimal bandwidth	0.011*** (0.000)	0.008* (0.004)	0.069*** (0.002)
Observations	6,614	1,263	1,780
125% Optimal bandwidth	0.008*** (0.000)	-0.006* (0.003)	0.042*** (0.003)
Observations	12,137	2,088	3,232
Panel B: Coefficients of <i>Won</i> (rectangular kernel)			
Optimal bandwidth	0.014*** (0.000)	0.005*** (0.000)	0.079*** (0.005)
Observations	2,942	2,599	820
75% Optimal bandwidth	0.014*** (0.001)	0.008*** (0.000)	0.048*** (0.006)
Observations	2,724	2,373	598
125% Optimal bandwidth	0.013*** (0.000)	0.005*** (0.000)	0.086*** (0.003)
Observations	4,080	2,743	1,093

This table presents coefficient estimates from a local linear estimator by Calonico, Cattaneo, and Titiunik (2014). Panel A (B) shows estimates using a triangular (rectangular) kernel. Column 1 use whole sample of elections and column 2 (3) use the subsample where the $\mathbb{1}\{\text{Board Member}\}$ variable equals zero (one). All variables are defined in Section 3 and the main text. Optimal bandwidths and biased-corrected estimates are determined using one common mean square error (MSE)-optimal bandwidth of Calonico, Cattaneo, and Farrell (2018) and re-estimated at 75% or 125% of optimal bandwidth for robustness. I include state fixed effects and standard errors are clustered at state level. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

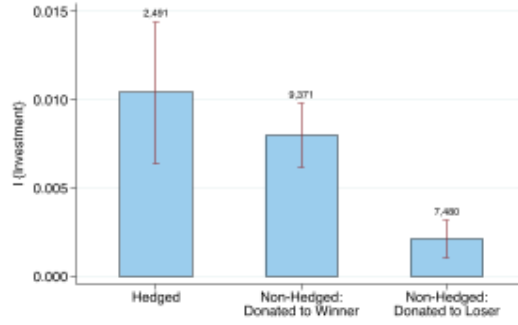
Table IA.14. Differences between GPs: Contributed vs Not Contributed

Panel A: Ever Contributed GPs vs. Non-Contributed GPs							
	Sample: Contributed GPs			Sample: Not contributed GPs			Diff.
	Mean (1)	Sd (2)	Obs (3)	Mean (4)	Sd (5)	Obs (6)	Mean (7)
GP Age	17.00	16.96	23,830	10.52	13.41	96,050	6.49***
GP AUM	352.43	1805.08	22,231	74.85	526.61	90,359	277.58***
#Buyout	0.21	0.66	23,830	0.07	0.34	96,050	0.14***
#Not Buyout	0.53	1.72	23,830	0.33	1.15	96,050	0.19***
Buyout Ratio	0.37	0.47	8,582	0.22	0.41	22,483	0.15***
Past performance	15.56	20.58	2,881	13.90	19.82	4,059	1.65***
Panel B: Contributed Year vs. Not Contributed Year Ever Contributed GPs							
	Sample: Contribution year			Sample: No contribution year			Diff.
	Mean (1)	Sd (2)	Obs (3)	Mean (4)	Sd (5)	Obs (6)	Mean (7)
GP Age	17.69	19.55	2,088	16.94	16.69	21,742	0.75*
GP AUM	446.74	1766.06	1,932	343.45	1808.53	20,299	103.29**
#Buyout	0.23	0.65	2,088	0.21	0.66	21,742	0.02
#Not Buyout	0.62	1.82	2,088	0.52	1.71	21,742	0.11***
Buyout Ratio	0.36	0.47	859	0.37	0.47	7,723	-0.01
Past performance	12.87	14.63	301	15.87	21.15	2,580	-3.00**

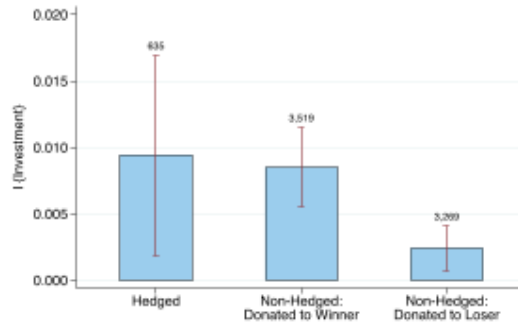
This table presents the means of various characteristics for the samples of contributed and non-contributed GPs at GP-Year level, and the differences between these samples are presented in panels A and B. Panel A compares GPs that ever make political contributions and those that do not make any political contributions in my sample. Panel B examines characteristics within the sample of GPs that ever make contributions in my sample and compares the years when they make contributions and when they do not. All variables are defined in [Section 3](#). *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Figure IA.3. Hedger

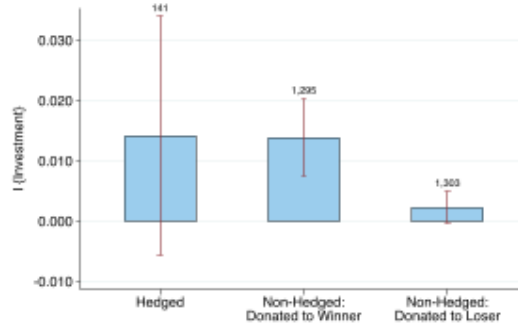
(a) Vote margin = (-5 pp, +5 pp)



(b) Vote margin = (-3 pp, +3 pp)



(c) Vote margin = (-1 pp, +1 pp)



This table presents the means of $\mathbb{1}\{\text{Investment}\}$ for the subsamples of GPs that donated both to winner and loser, GPs that donated only to winner, and GPs that donated only to loser at given election. Panels (A), (B), and (C) shows the results from the state elections of vote margin ± 5 pp, ± 3 pp, ± 1 pp, respectively.

IA.2 Sample Construction

IA.2.1 Preqin Datasets

The Preqin data contains detailed information on alternative assets, such as private equity, venture capital, hedge fund, real estate, and infrastructure. The data are mainly from the Freedom of Information Acts (FOIA) requests and directly from GPs (Harris, Jenkinson, and Kaplan (2014)). It contains information on institutional investors, performance, and the underlying deals of PE funds. Harris, Jenkinson, and Kaplan (2014), Brown et al. (2015), and Gupta and Van Nieuwerburgh (2021) demonstrates that various commercial data sets frequently employed in PE literature yield similar estimates, mitigating concerns about selection bias in Preqin. Furthermore, Preqin's coverage of public pension funds is comprehensive as their main source comes from FOIAs to U.S. public pensions (e.g., Hochberg and Rauh (2013); Begenau et al. (2020)).

I merge across Preqin datasets, which mainly consist of various tables such as "investors," "funds," "performance," "commitment," and "deal" tables. This merging process aims to establish the investor - PE fund - portfolio company chain. To achieve this, I utilize unique identifiers for each LP, GP, and fund to merge across the tables. The following is a detailed description of each table:

- (i) The "investor" table includes information on institutional investors, including their name, type (e.g., sovereign wealth, public pension, corporate pension, insurance company, bank, endowment, and etc.), and geographic location.
- (ii) The "funds" and "performance" tables contain details on fund characteristics. This includes information such as fund type, vintage year, the managing firm (GP), and fund performance.

- (iii) The “commitment” table enumerates institutional investors for each fund, along with the corresponding dollar amounts of their committed capitals. This table establishes a crucial linkage between institutional investors and their PE fund investment, enabling the identification of GPs who have invested in specific PE funds.
- (iv) Regarding deal information from each fund, instead of downloading the “deal” table from Wharton Research Data Service (WRDS), I use the Preqin portal as it has more detailed information about the deal and portfolio companies. The information contains the name, geographic location, and industry classification of portfolio firms, where available.

IA.2.2 Merging Preqin with Political Contribution Records

I collect the records of political contributions from the Follow the Money database, which is from the National Institute on Money in State Politics.²⁹ This dataset contains a comprehensive records of campaign contributions to candidates for state elections. As the data covers every state elections in the U.S. from 1998, my sample runs from 1998 to 2022.

I employ a three-step process to merge the Preqin and political contribution data, using the name of GPs, donors, and donors’ employer.

- (i) Initially, I conduct an automatic matching of GP names from Preqin and donor or donor’s employer name from the Follow the Money. This matching is performed using the Levenshtein et al. (1966) edit distance algorithm, requiring a minimum threshold similarity score of 70.

²⁹Detailed information is available at McGovern and Greenberg (2014).

- (ii) Second, as foreign nationals or non-U.S. organizations cannot legally contribute to U.S. election campaigns, I filter the contribution records from foreign GPs reported in my sample. This step ensures that the included contributions do not reflect potential individual ideological biases unrelated to the strategic decisions of GPs. Therefore, I examine the U.S.-incorporated (headquartered) GPs who are qualified to make campaign contributions.
- (iii) Lastly, I manually review the list of matches obtained in the previous step. This manual verification involves a tedious process based on names, geographic location, industry classification (if available), and GP websites to confirm accurate matches.

To quantify the accuracy of the resulting links, I validate a stratified random sample of 120 candidate pairs: 60 accepted non-exact matches, 20 accepted exact matches, and 40 rejected pairs with name similarity above 90. Each pair is reviewed twice independently, and contested pairs are adjudicated against the underlying contribution records, using the donor's city, occupation, and sibling records of the same donor. Among accepted links, 53 of 60 non-exact and 19 of 20 exact pairs are confirmed correct, implying a precision of 92% to 95% for the accepted links weighted by stratum size; the confirmed errors typically attach a donor employed by a similarly named firm in another state. Among rejected high-similarity pairs, 5 of 40 are true matches missed because of single-character typos in donor-reported names, so the manual review errs toward rejection, and such misses understate true connections rather than create false ones. The links underlying the treated connection events are unaffected: every match behind those events is either an exact string match or an unambiguous variant of the GP's name, such as a dropped suffix or a single-character typo of a well-known firm. One class of accepted links warrants a separate check: for corporate venture arms, a donor's employer string sometimes names the parent organization

rather than the arm itself, so such links may capture rank-and-file parent employees. Excluding the 22 GPs whose links include such parent-organization employer strings leaves the selection estimate at 4.3 pp and statistically significant and the performance estimate unchanged, because no treated commitment relies on such a link.

IA.2.3 Merging Political Contribution Data with OurCampaigns Data

I attain the records of electoral outcomes from OurCampaigns.³⁰ These data include information such as the number of votes for each candidate, election jurisdiction, election year, and basic candidate details. I merge the Follow the Money data with the electoral outcome data by using the candidate names, campaign office title, election year, and election state. For the unmatched sample, I use middle names, nicknames, or abbreviations to match. This involves a manually matching based on names and online sources for each election candidate.

IA.2.4 Public Pensions Database

I obtain public pension plan-level information from the Public Pensions Database (PPD), a comprehensive source including detailed annual data on U.S. state and local pension plans. This dataset covers 229 pension plans, covering 95% of public pension membership and assets.³¹ The data spans from 2001 to 2022 and includes a range of details, such as balance sheet information, asset allocations, investment returns, and more.

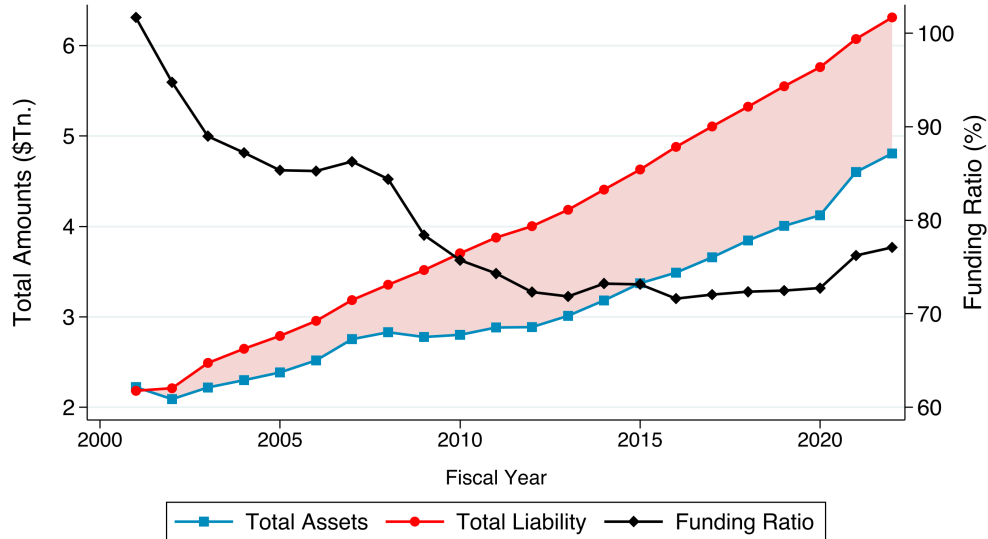
To supplement this information, I collect data on the board composition of public pension funds. These data are sourced from the Comprehensive Annual Financial Reports (CAFRs), pension fund websites, and state or municipal codes, following the methodology outlined by Andonov, Hochberg, and Rauh (2018). The CAFRs

³⁰<http://www.ourcampaigns.com>

³¹<https://publicplansdata.org/public-plans-database>

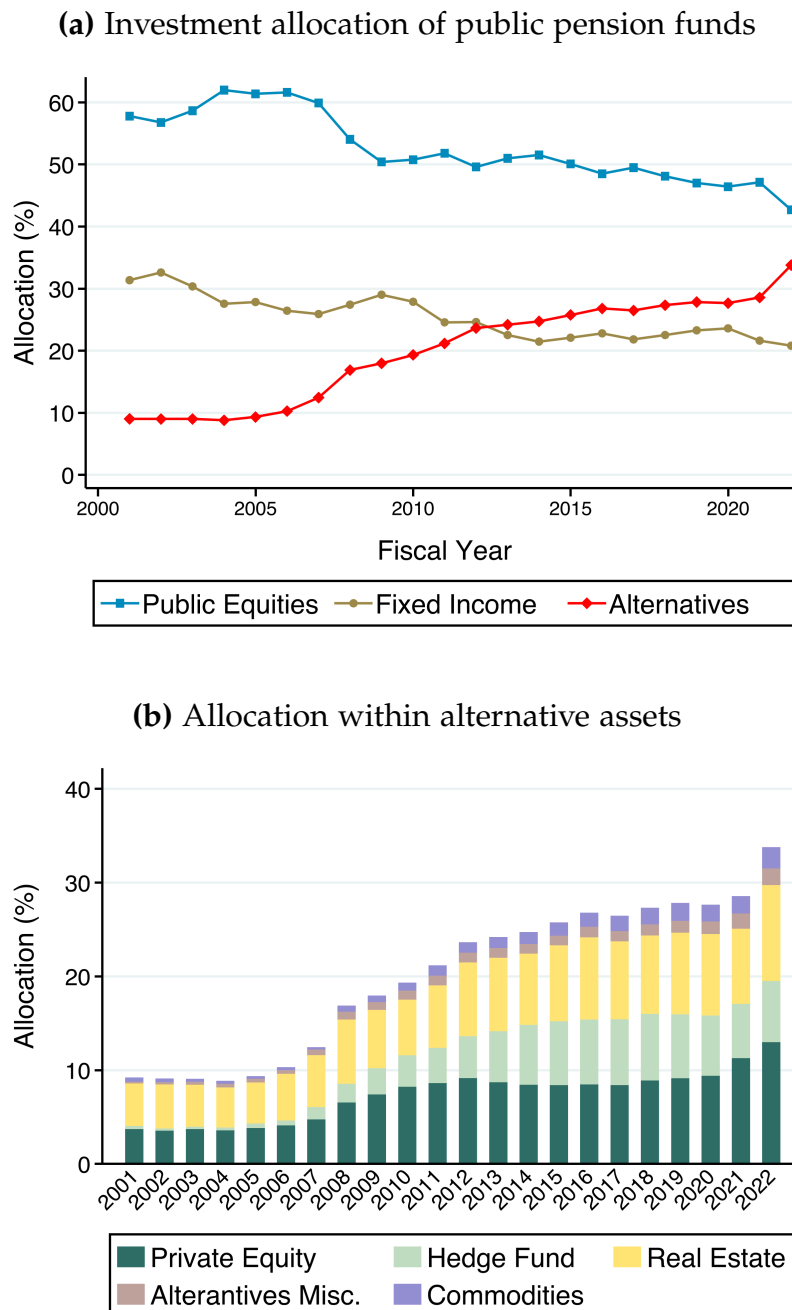
contain the type of trustees on the pension fund board, distinguishing whether trustees obtained their seats through two categories: appointed/elected/ex-officio (which means serving by the virtue of title that the trustee holds), and official/plan participant/public. Given the significant heterogeneity in board composition among U.S. public pension funds, and the fact that this composition is determined prior to their investment in PE funds (Andonov, Hochberg, and Rauh (2018)), exploiting this board composition information provides an advantage in attributing each investment to a specific public pension board member.

Figure IA.2. Financial Status of U.S Public Pension Funds



This figure plots the total assets (left y-axis, in trillion dollars), total liability (left y-axis, in trillion dollars), and the average funding ratio (right y-axis) of public pension funds in the U.S. over time. The funding ratio is defined as the actuarial total assets divided by the actuarial total liability. The data are sourced from Public Plans Data (PPD).

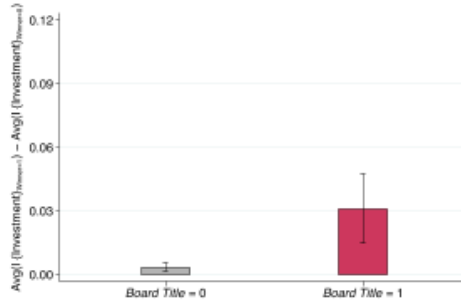
Figure IA.3. Portfolio Allocation of U.S. Public Pension Funds



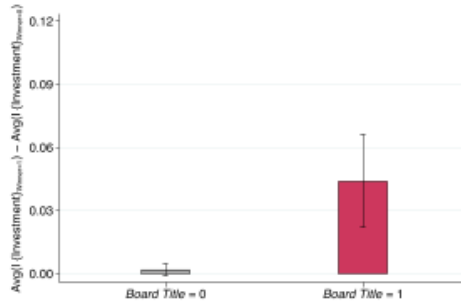
Panel (A) shows the investment allocation of U.S. public pension funds across asset classes. Panel (B) shows the average allocation within alternative assets. Alternative assets include private equity, hedge fund, real estate, commodities, and alternative miscellaneous. Source for this figure is from Public Pension Plan Data (PPD).

Figure IA.4. Investment Decisions: Board Member Heterogeneity

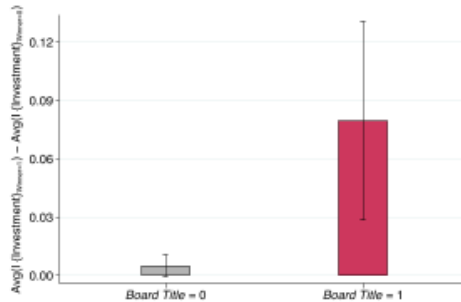
(a) Vote margin = (-5 pp, +5 pp)



(b) Vote margin = (-3 pp, +3 pp)



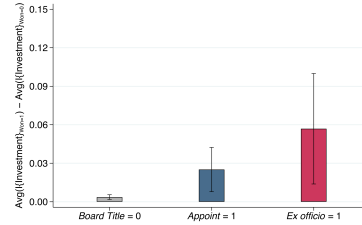
(c) Vote margin = (-1 pp, +1 pp)



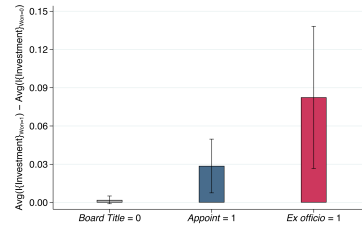
These graphs show the differences in the average values of $\mathbb{1}\{\text{Investment}\}$ variable across *Winner* group, within each group categorized by $\mathbb{1}\{\text{Board Title}\}$ variable, with 95 % confidence intervals. $\mathbb{1}\{\text{Board Title}\}$ is an indicator equal to 1 if the title of office that candidate runs for is assigned as or appoints a pension board member by virtue of holding the title. When calculating group means, I split candidates by *Winner* variable. For each *Winner* group, I split observations by $\mathbb{1}\{\text{Board Title}\}$ by different vote margins. Panel (A), (B), and (C) present values for close elections with vote margins of 5 pp, 3 pp, and 1 pp, respectively.

Figure IA.5. Investment Decisions: Board Member Heterogeneity

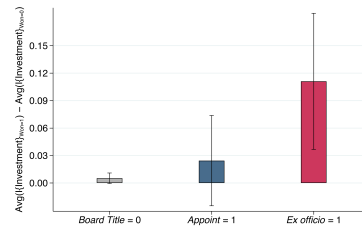
(a) Vote margin = (-5 pp,+5 pp)



(b) Vote margin = (-3 pp,+3 pp)

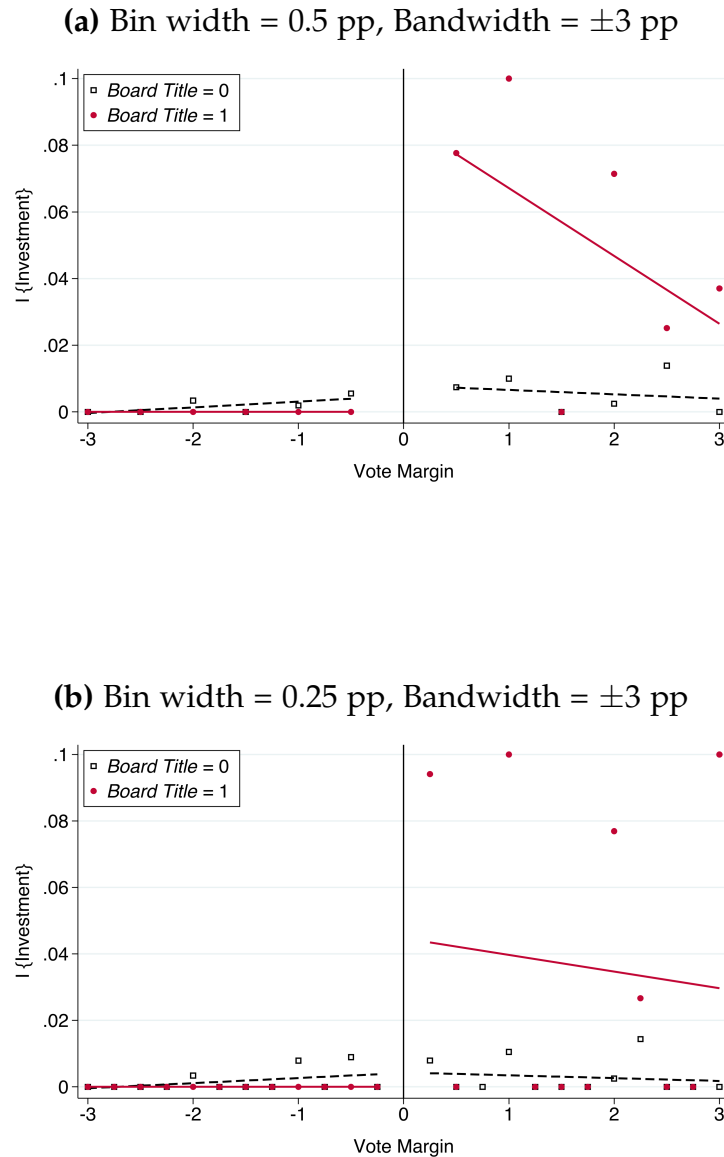


(c) Vote margin = (-1 pp,+1 pp)



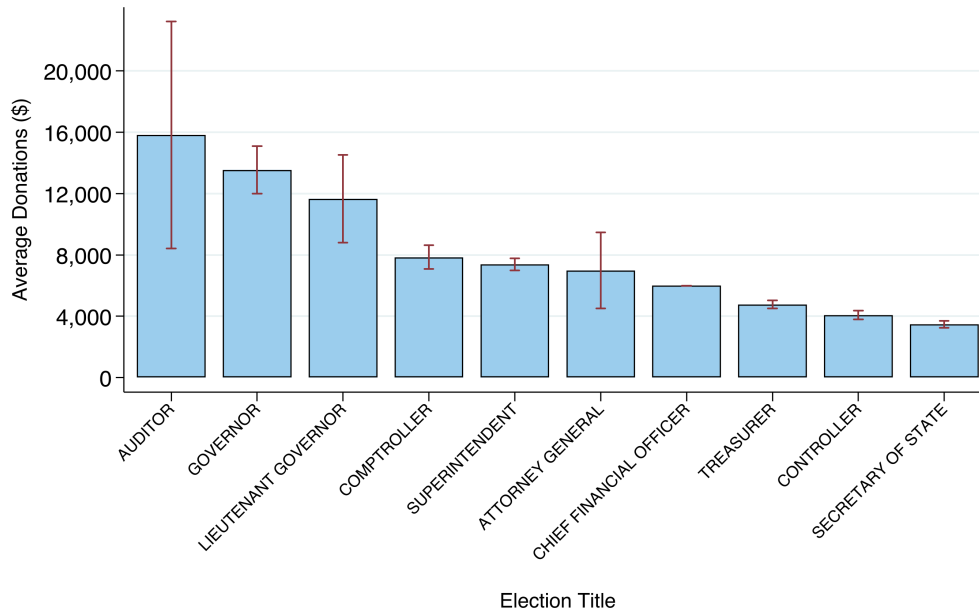
These graphs show the differences in the average values of $\mathbb{1}\{\text{Investment}\}$ variable across *Winner* group, within each group categorized by $\mathbb{1}\{\text{Ex officio}\}$ and $\mathbb{1}\{\text{Appoint}\}$ variable, with 95 % confidence intervals. $\mathbb{1}\{\text{Ex officio}\}$ is an indicator equal to 1 if the title of office that candidate runs for is assigned as a board member of the public pension funds by virtue of holding the title. $\mathbb{1}\{\text{Appoint}\}$ is an indicator equal to 1 if the title of office that candidate runs for appoints a delegate as a board member of the public pension funds by virtue of holding the title. When calculating group means, I split candidates by *Winner* variable. For each *Winner* group, I split observations by $\mathbb{1}\{\text{Ex officio}\}$ and $\mathbb{1}\{\text{Appoint}\}$ group, defined in [Section 4.1](#) by different vote margins. Panel (A), (B), and (C) present values for close elections with vote margins of 5 pp, 3 pp, and 1 pp, respectively.

Figure IA.6. Investment decisions: Board member heterogeneity



This graph shows average value of $\mathbb{1}\{Investment\}$, by the vote margin of ± 3 percentage points (pp) bandwidths. They also show local linear polynomials to the left and right of the threshold. Panel (A) presents values grouped into bins 0.5 pp wide: For example, election candidates that win by between 0.01 pp and 0.5 pp are assigned to the 0.5 bin; those that lose by similar margins are assigned to the -0.5 bin. Panel (B) is grouped into bins 0.25 pp wide: For example, election candidates that win by between 0.01 pp and 0.25 pp are assigned to the 0.25 bin; those that lose by similar margins are assigned to the -0.25 bin.

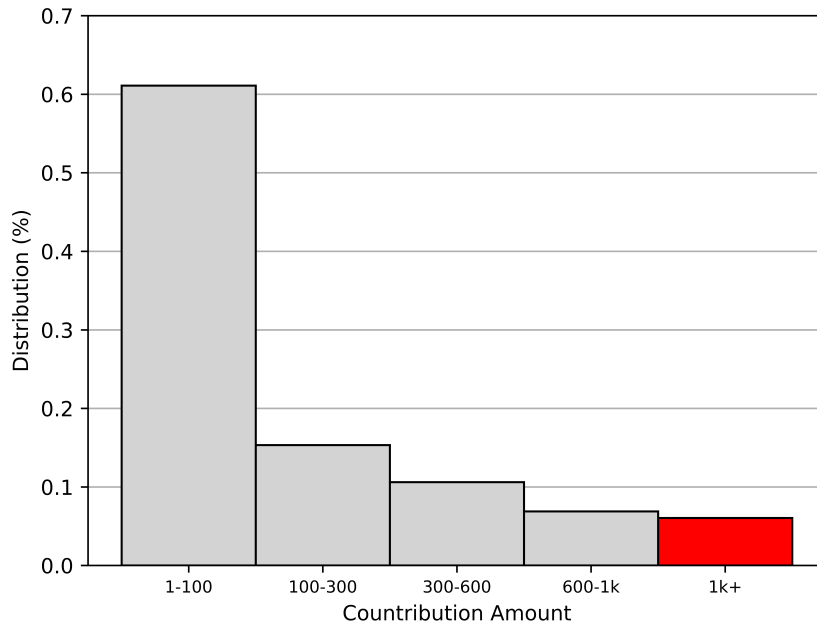
Figure IA.7. Heterogeneity in Donations: Office Titles



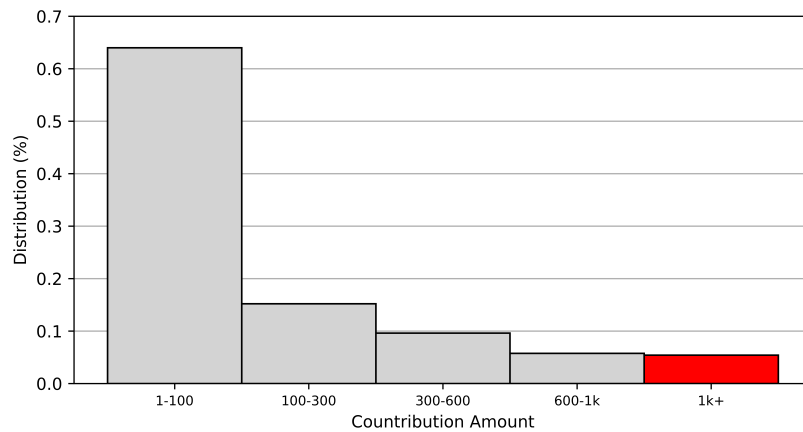
This figure shows the average amounts of donations from GPs to state officials by the title of the office, with 95 % confidence intervals.

Figure IA.8. Distribution of Contributions

(a) Full sample



(b) Close elections



Panel (A) gives the distribution of each donation amount to every state election candidate from all records of contributions. Panel (B) displays the distribution of donation amounts to state election candidates included in my sample. The red bar indicates the range in which the average donation amount from GPs in my sample belong.